CHART
OF THE WEEK

20 May 2026

BLOCKADE OF THE STRAIT OF HORMUZ: THE OIL MARKET SOON TO RUN OUT OF OPTIONS

Pascal Devaux

Global oil market will soon have lost more than one billion barrels of crude and petroleum products

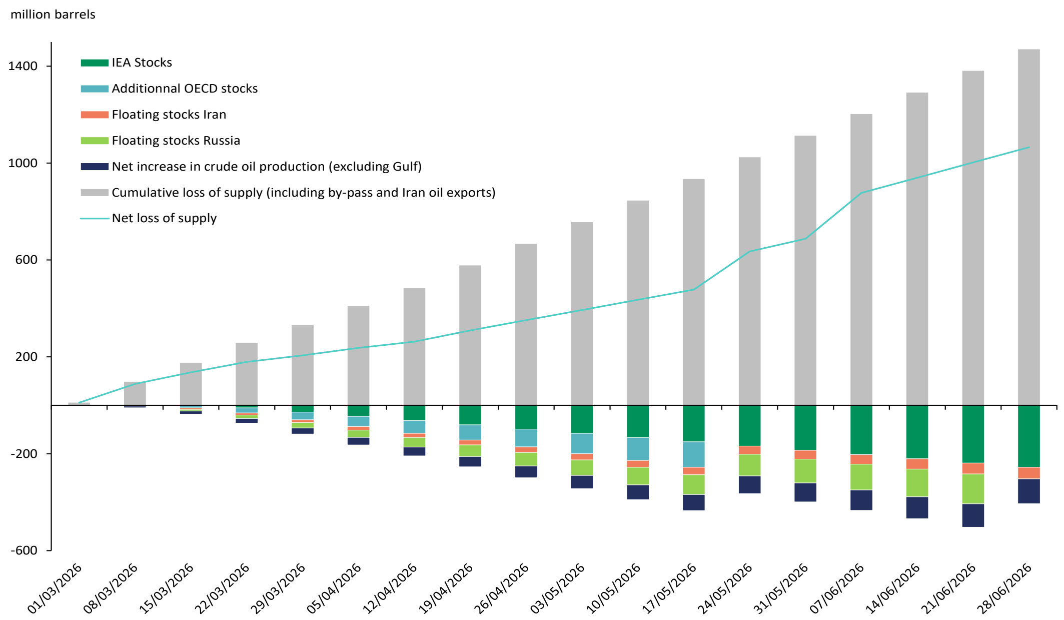

CHART 1 SOURCE: INTERNATIONAL ENERGY AGENCY (IEA), BNP PARIBAS

The blockade of the Strait of Hormuz over the past two and a half months has significantly reduced the amount of oil available globally. The use of regional bypass, and the release of commercial stocks and strategic reserves are only partial and temporary solutions. Without the restoration of oil flows through the strait, the growing shortfall in petroleum products will accelerate the rise in oil prices and destruction in global oil demand.

A considerable volume of oil is out of the market despite the use of alternative routes

Under normal circumstances, nearly 19.8 million barrels per day (mb/d) of crude oil and refined products pass through the Strait of Hormuz. Due to the blockade, part of this flow is being diverted through existing alternative transit infrastructures. Around 7 mb/d are thus being diverted through various bypass pipelines[1].

In addition, there were 2 to 3 mb/d of Iranian exports via the Strait until the US blockade was imposed on April 13th. Taking these bypass capacities into account, the volume of oil production absent from the market is estimated at around 9 mb/d, which remains considerable.

Massive stock drawdowns offer temporary relief

In response to this growing oil supply shortfall, the International Energy Agency (IEA) announced on March 11th the coordinated release of strategic stocks by member countries. Totaling a record 426 million barrels, these stocks consist of 70% crude oil and 30% refined products. Uncertainties remain regarding the pace at which these stocks will be released, but our assumption is at a rate of 2.5 million barrels per day. Added to these volumes are a further 100 million barrels of oil mobilised by other OECD member countries (Japan and South Korea). At the same time, the United States has temporarily eased certain sanctions on Russia's seaborne shipments (which may now be traded until the end of June) and Iranian shipments already in transit (thus allowing access to floating stocks). Finally, increased production in other oil-producing countries (the United States, Canada, Argentina, etc.) is also helping to ease global supply pressures.

Thus, the estimate of the net quantity of oil lost to the market takes into account the capacity to bypass the strait as well as the support measures implemented (*chart 1*).

1 The East-West pipeline from Saudi Arabia to the port of Yanbu on the Red Sea, the Habshan-Fujairah pipeline from the United Arab Emirates to the Gulf of Oman, and the Kirkuk pipeline used by Iraq to the port of Ceyhan in Türkiye.

Is the surge in US exports sustainable?

Other external factors are helping to limit, at least temporarily, the effects of the current market disruptions and to contain price rises to a certain extent.

i/ Firstly, market disruptions and rising prices are reducing global oil demand. According to the latest IEA report, it could contract by 2.4 mb/d during Q2 2026 and decrease by a total of 0.42 mb/d over the year 2026 compared to 2025, reaching 104 mb/d.

ii/ Secondly, the United States has significantly increased its exports of crude oil and refined products. These exports reached an all-time high of 14.2 mb/d during the week of April 24th, compared with an average of 10.7 mb/d in 2025, according to the US Energy Information Administration (EIA). However, the sustainability of this US effort is raising questions. Maintaining a high level of exports implies increased drawdowns on domestic stocks (*chart 2*), which are falling at a very high rate (an all-time high during the week of May 8th). This is unsustainable in the short term, and could fuel market concern.

Furthermore, according to the US EIA, the retail price of gasoline in the United States now exceeds USD 4.50 per gallon. However, this trend is economically costly, particularly as a seasonal rise in fuel consumption begins. Furthermore, it could also be costly from a political perspective as November mid-term elections approach, at a time when US households' purchasing power is already weakened by persistently high inflation. It is therefore uncertain whether the US will continue this policy of sharply increasing exports for more than a few weeks, particularly for refined products.

iii/ Finally, the decline in Chinese imports of oil is limiting upward pressure on global prices, without, however, drastically reducing China's commercial stocks and strategic reserves (estimated at 1.4 billion barrels). According to some estimates, China has reduced its crude oil imports by an average of 3.6 million barrels per day (they are now reportedly at 8.1 mb/d compared with 11.7 mb/d before the war). This is notably the result of a decline in activity in the petrochemical and refining sectors in April (year-on-year). This contraction is likely to be temporary.

Markets are taking stock of the shock

Markets now seem to be taking the full extent of the current supply shortfall more clearly: nearly a billion barrels are estimated to be missing since the closure of the strait. This is particularly reflected in the narrowing of the spread between the price of a barrel of 'physical' oil (dated Brent, the nearest physical delivery) and the Brent futures price on international markets (now less than USD5 per barrel). Furthermore, Brent futures prices (maturing in December 2026) are trending upwards and remain close to USD92 per barrel, having reached their highest level on 4 May (*chart 3*).

Temporary solutions are running out of steam, raising market concerns

Tensions in the global oil market will continue to rise to the point that the gap between supply and demand becomes too wide for temporary solutions to be sufficient to mitigate it. For the United States, the drawdown of strategic reserves (Strategic Petroleum Reserve) and commercial reserves held by private companies could heighten concerns from the end of Q2 onwards.

The European Union, for its part, could face an abrupt market adjustment for refined products in June (through supply disruptions). Around half of the barrels to be delivered via the oil stocks released by the IEA to supply the market remain available. Yet the seasonal rise in consumption of petroleum products during the summer in the northern hemisphere risks rapidly depleting them. Therefore, the possibility of bringing an additional volume of oil to the market could be evoked, but it would be at the risk of reducing stocks to an alarming low level (which is difficult to estimate at this stage) and could push the market even further towards extreme pricing.

Pascal Devaux, with the help of Clara Ngo Ba Do (intern)
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The massive US stock release will be difficult to maintain in the short run

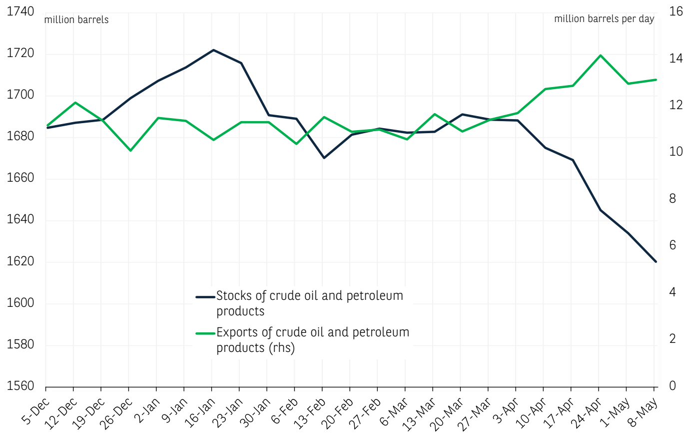

CHART 2 SOURCE: EIA, BNP PARIBAS

The energy shock is better priced by the market

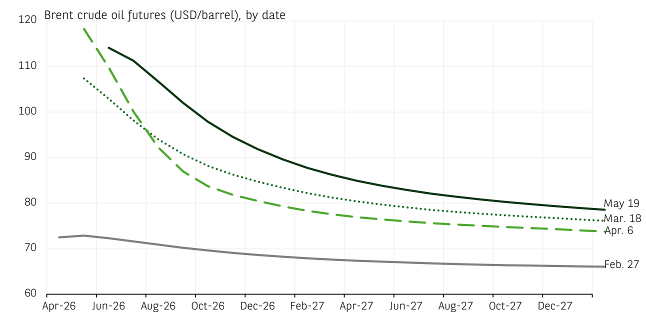

CHART 3 SOURCE: BLOOMBERG, BNP PARIBAS

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MAY 2026

Energy shock: Dashboard 2026 vs. 2022

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The bank for a changing world

Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those for the war in Ukraine and the subsequent energy shock? Although there are similarities, there are many uncertainties.

The ongoing energy-led inflation rise should be less strong, as demand is less dynamic and supply is less constrained today compared with the situation in 2022. Conditions do not appear to be conducive to a significant propagation of the rise in energy prices. However this will need to be closely monitored as transmission lags matter, and the return to normal oil production flows will take time while the strait of Hormuz remains blocked.

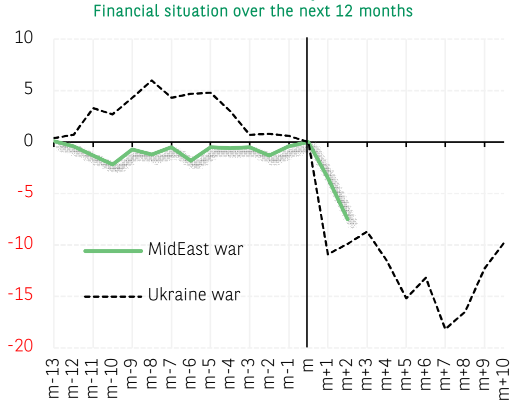
In addition, central banks have learned from the inflationary shock of 2021-2023. They are ready to react more quickly to counter any spillovers, second-round effects and spiral between price increases, inflation expectations and wages. Such second-round effects are not yet visible in the data, but central banks are on alert of any warning signs.

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard featuring charts and comments will be updated on a monthly basis for as long as necessary.

Eurozone/US: Household confidence falters under the impact of rising energy prices

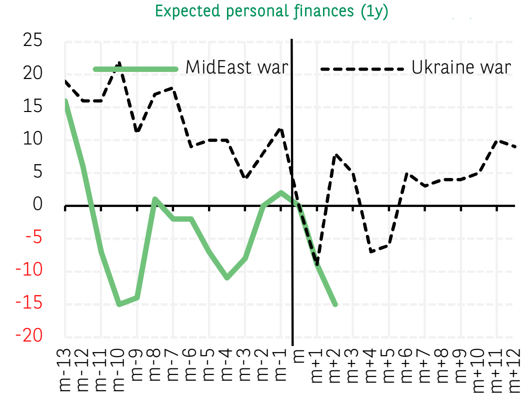
Eurozone consumer confidence:
Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

US consumer sentiment:
Expected personal finances (1y)



Change since m = 0 = February 2026 / February 2022

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

Eurozone: The inflation rise remains energy-driven, but pressures are mounting and consumer and services sector confidence is deteriorating sharply

We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the “input prices” and “output prices" components of the composite PMI (in order to identify direct inflationary pressures); the “suppliers’ delivery times” component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its “assessment of financial situation in the next 12 months” component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict, more or less during the year that follows and the year that precedes the event. Each line does not represent the level of the indicator but its cumulative variation compared to month m=0.

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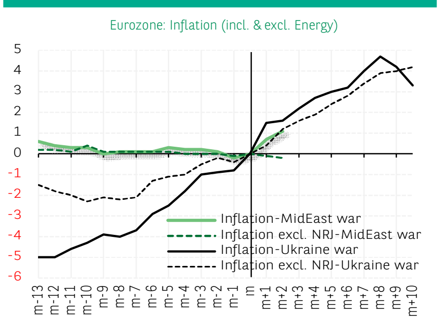
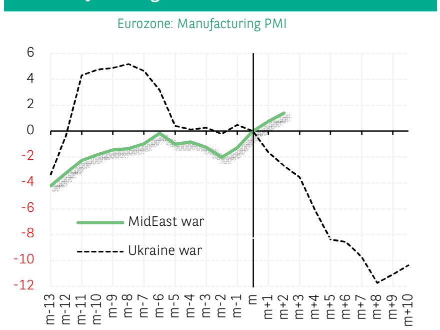
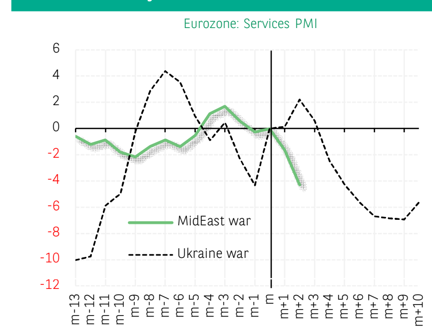
April 2026:
The inflation rise remains energy-led



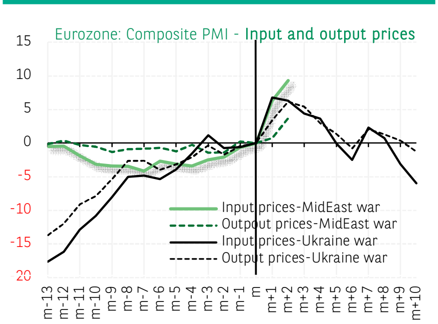
April 2026: Business confidence in the manufacturing sector remains well-oriented



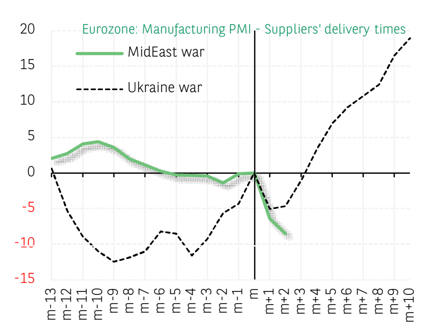
April 2026: Business confidence in services further deteriorates



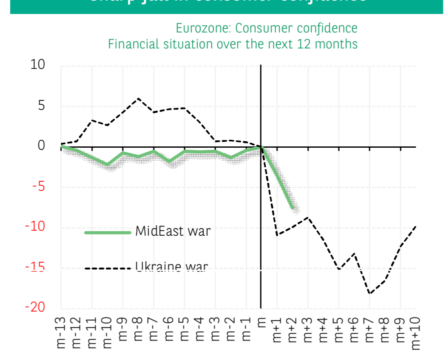
April 2026: Sharp rise in input prices and increase in output prices



April 2026: Further lengthening of delivery times, signaling rising tensions on supply



April 2026:
Sharp fall in consumer confidence



Change since m = 0 = February 2026 / February 2022

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

United States: Iran war pushes inflation higher and sustains downward pressure on household sentiment

The Iran war delivered a quick, though relatively contained, negative impact to US activity data and surveys.

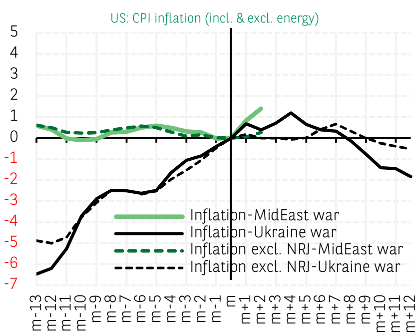
CPI inflation recorded its largest monthly increase since 2022 in March, before reaching 3.8% y/y in April (+1.4pp in two months and a highest since 2023) – almost entirely on the back of gasoline prices, with the non-energy index edging up only moderately.

Business sentiment, which was on an upward trajectory before the shock, stayed resilient but signaled a faster input-price growth (a leading indicator of inflation) and longer delivery times, both directly linked to Middle East turmoil and coming on top of the issue of tariffs.

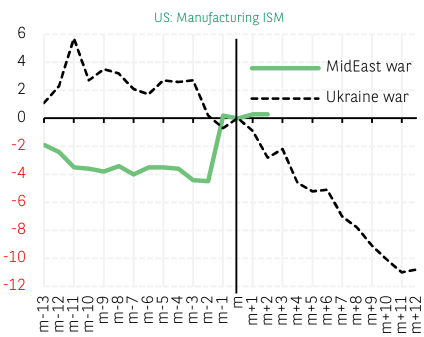
Meanwhile, the outlook of households, which were already low on optimism, has further deteriorated due to their sensibility to gasoline prices, while inflation expectations were rising.

However, macro conditions are significantly less inflationary than in 2022, and small businesses have not yet materially raised their price plans.

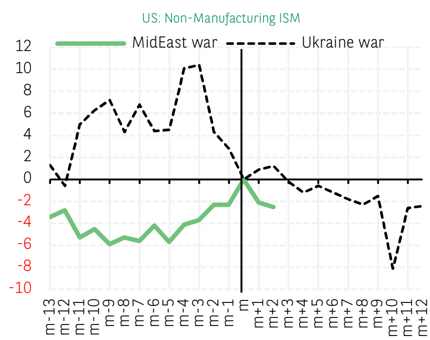
April 2026: Energy-related inflation bounce



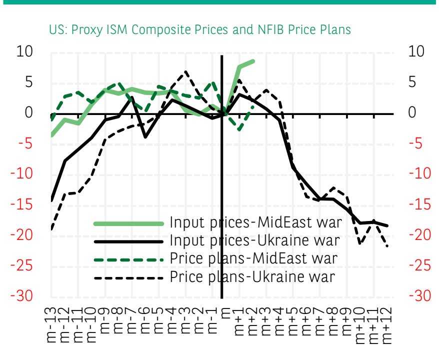
April 2026: Positive trend for manufacturing business sentiment



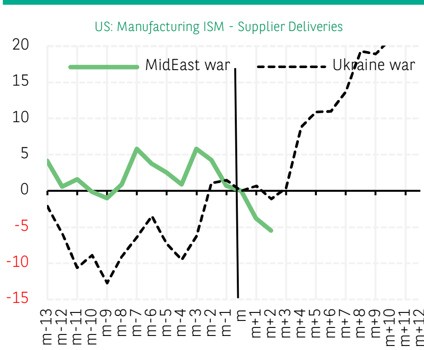
April 2026: Services business sentiment down but still buoyant



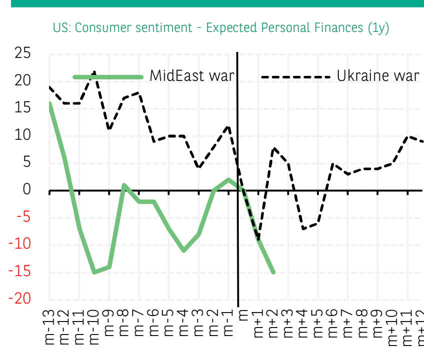
April 2026: Sharp rise in input prices, moderate rise in price plans



April 2026: Longer delivery times



May 2026: Growing concerns among households



Change since m = 0 = February 2026 / February 2022

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

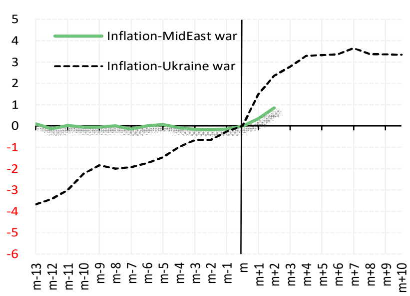
Emerging economies: Manufacturing activity seems to be holding up much better than in 2022 but the inflation shock is spreading

In April 2026, the inflationary impact of the oil price shock is spreading as the average CPI inflation rate for the main emerging economies reached 4.8% year-on-year, compared with 3.9% in February. The shock is still contained compared to 2022 due to limited spillover to agricultural and food prices. However, manufacturers' opinion on the trend in input & output prices have deteriorated significantly. The contagion of oil and gas prices to fertiliser and oil-derived input prices is being felt more acutely.

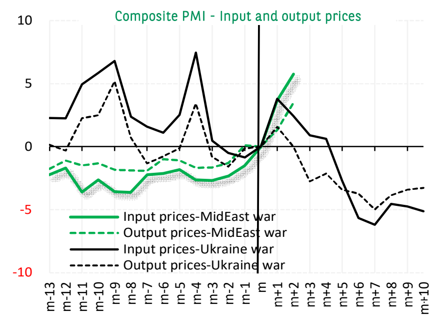
As anticipated in March, the impact on manufacturing activity is far less severe than in 2022, as the business climate has become less negative. By comparison, prior to the shock of 2022, the business climate had continued to deteriorate significantly.

According to estimates by the Institute of International Finance (IIF), non-resident portfolio investment in the main emerging markets rebounded (+USD 38.9 billion) following the massive outflows in March (-USD 85.7 billion), which were revised upwards from the first estimates. The return of foreign investors to the Chinese, Taiwanese and Korean markets accounts for most of the rebound. It should be noted, however, that investment outflows from Indian markets continued. At first sight, the oil shock has generated much higher volatility in portfolio investments flows than in 2022, but volatility was concentrated in a few markets.

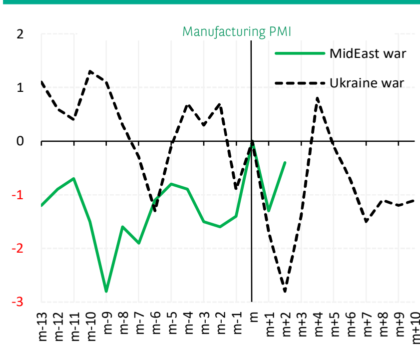
**April 2026 :
A much less severe CPI inflation rebound ...**



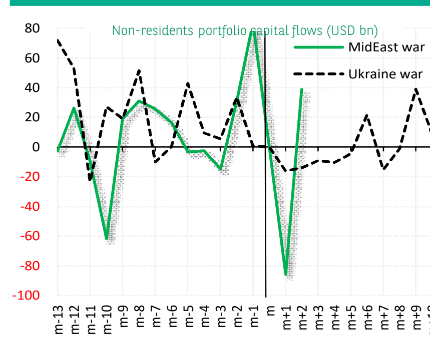
April 2026: ... but a stronger acceleration in input and output producer prices



**April 2026 : Better business confidence
after the March shock**



**April 2026 :
A marked rebound in portfolio investments**



Change since m = 0 = February 2026 / February 2022

Source: National Statistical Offices, IIF, S&P Global, BNP Paribas

Oil & gas: The sharp rise in U.S. exports is providing temporary relief to the oil market, but prices remain very high

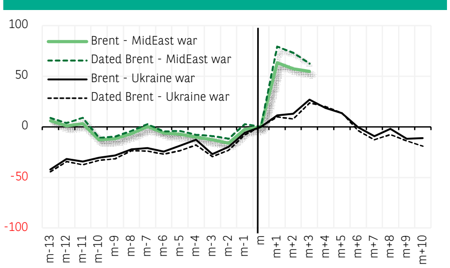
For now, European oil and gas prices appear to be reacting more strongly to the energy shock caused by the war in the Middle East than they did to the shock that followed Russia's invasion of Ukraine.

Oil: The growing loss of barrels available on the market due to the closure of the Strait of Hormuz, repeated attacks on production capacity in the Gulf, and restrictions on traffic through the Strait increase the risk of a physical oil shortage in the short term. This has led to a sharp reaction in the prices of physical barrels (dated Brent). In recent weeks, better pricing of this risk of shortage has caused the prices of futures (Brent) to converge with that of the physical barrel (dated Brent). Furthermore, the sharp rise in oil exports from the United States and, to a lesser extent, the decline in Chinese imports have eased tensions in the physical market and pushed prices lower.

Gas: The reaction of the spot gas price in Europe (TTF) has been more moderate than that of oil. This is due in particular to 1) European countries' limited direct dependence on gas from the Gulf, 2) the reduction in European demand as winter ends, and 3) the decline in Asian demand. Nevertheless, TTF prices remain high and have trended upward over the past month due to the ongoing blockade of the Strait and the start of the restocking period in Europe.

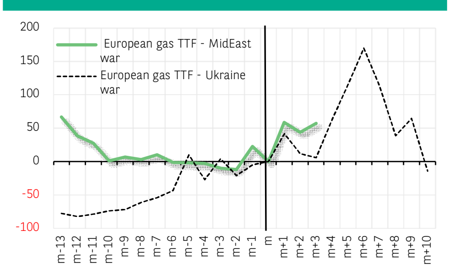
Electricity: Unlike 2022, wholesale electricity prices in Europe have been falling since the start of the conflict. Gas prices remain an important determinant of wholesale electricity prices, but progress in decarbonation of the electricity mix since 2022 and favorable weather conditions explain this recent development.

May 2026: Narrowing spread between the physical barrel price and futures price



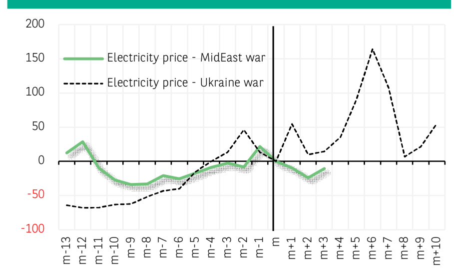
Note: change % since 02/27/2026 - 02/23/2022; last price 05/18/2026

May 2026: Rebound in LNG prices in Europe



Note: change % since 02/27/2026 - 02/23/2022; last price 05/18/2026

May 2026: Wholesale electricity prices in Europe have not reacted yet



Note: change % since 02/2026 - 02/2022

Source: Bloomberg, Ember, BNP Paribas

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Eurozone: The inflation rise remains energy-driven, but pressures are mounting and consumer and services sector confidence is deteriorating sharply

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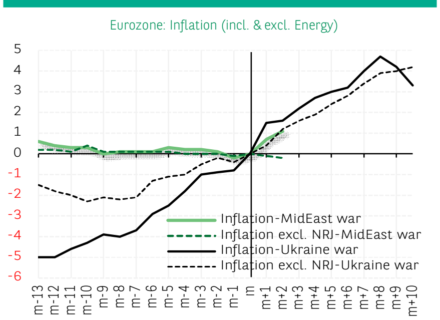
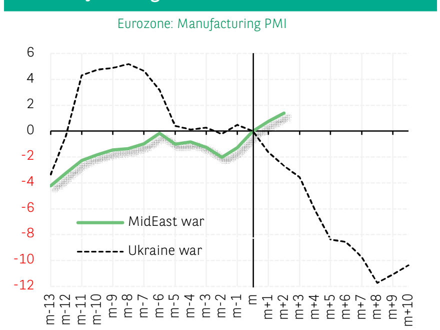
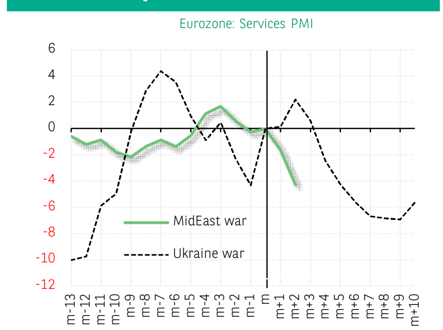
**April 2026:
The inflation rise remains energy-led**



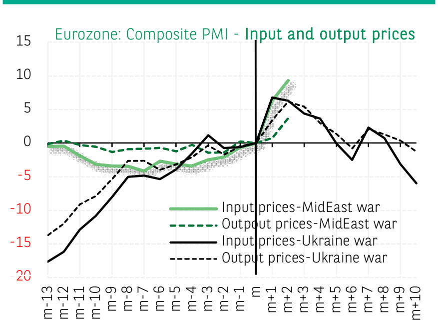
April 2026: Business confidence in the manufacturing sector remains well-oriented



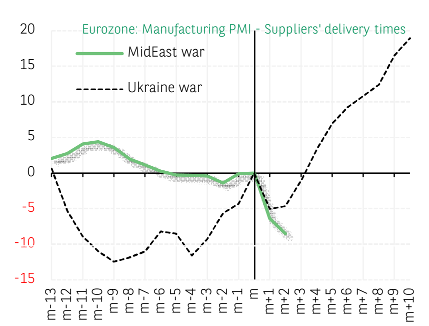
April 2026: Business confidence in services further deteriorates



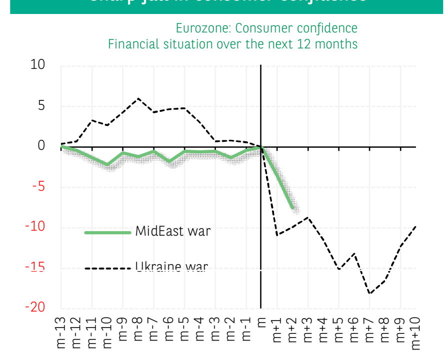
April 2026: Sharp rise in input prices and increase in output prices



April 2026: Further lengthening of delivery times, signaling rising tensions on supply



**April 2026:
Sharp fall in consumer confidence**



Change since m = 0 = February 2026 / February 2022

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

United States: Iran war pushes inflation higher and sustains downward pressure on household sentiment

The Iran war delivered a quick, though relatively contained, negative impact to US activity data and surveys.

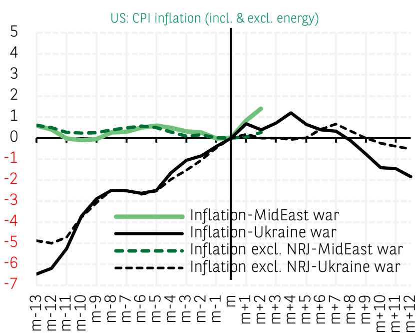
CPI inflation recorded its largest monthly increase since 2022 in March, before reaching 3.8% y/y in April (+1.4pp in two months and a highest since 2023) – almost entirely on the back of gasoline prices, with the non-energy index edging up only moderately.

Business sentiment, which was on an upward trajectory before the shock, stayed resilient but signaled a faster input-price growth (a leading indicator of inflation) and longer delivery times, both directly linked to Middle East turmoil and coming on top of the issue of tariffs.

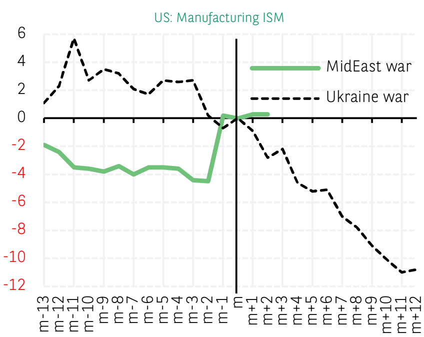
Meanwhile, the outlook of households, which were already low on optimism, has further deteriorated due to their sensibility to gasoline prices, while inflation expectations were rising.

However, macro conditions are significantly less inflationary than in 2022, and small businesses have not yet materially raised their price plans.

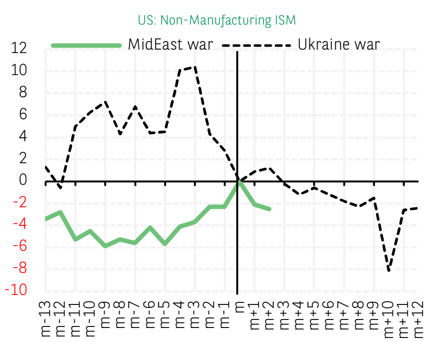
**April 2026:
Energy-related inflation bounce**



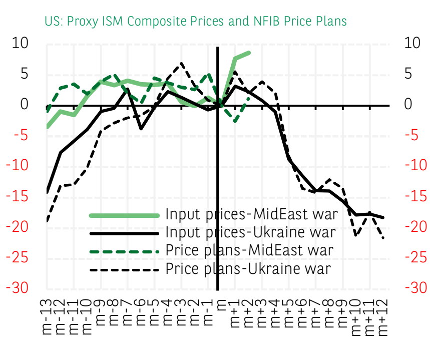
April 2026: Positive trend for manufacturing business sentiment



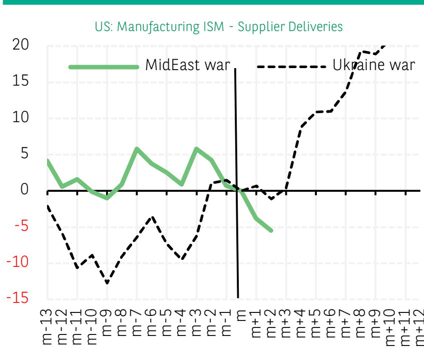
April 2026: Services business sentiment down but still buoyant



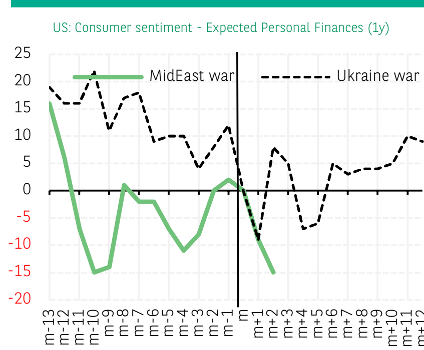
April 2026: Sharp rise in input prices, moderate rise in price plans



**April 2026:
Longer delivery times**



**May 2026:
Growing concerns among households**



Change since m = 0 = February 2026 / February 2022

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

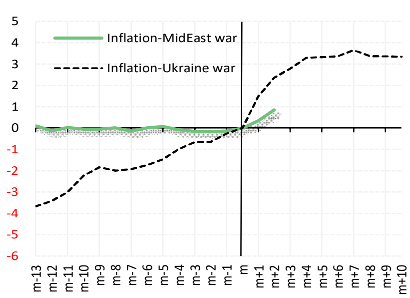
Emerging economies: Manufacturing activity seems to be holding up much better than in 2022 but the inflation shock is spreading

In April 2026, the inflationary impact of the oil price shock is spreading as the average CPI inflation rate for the main emerging economies reached 4.8% year-on-year, compared with 3.9% in February. The shock is still contained compared to 2022 due to limited spillover to agricultural and food prices. However, manufacturers' opinion on the trend in input & output prices have deteriorated significantly. The contagion of oil and gas prices to fertiliser and oil-derived input prices is being felt more acutely.

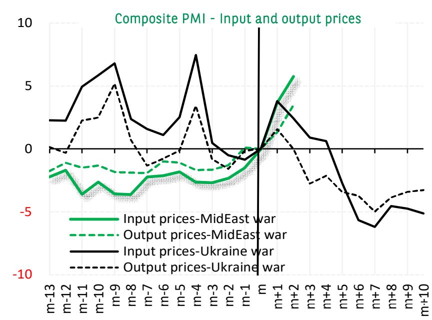
As anticipated in March, the impact on manufacturing activity is far less severe than in 2022, as the business climate has become less negative. By comparison, prior to the shock of 2022, the business climate had continued to deteriorate significantly.

According to estimates by the Institute of International Finance (IIF), non-resident portfolio investment in the main emerging markets rebounded (+USD 38.9 billion) following the massive outflows in March (-USD 85.7 billion), which were revised upwards from the first estimates. The return of foreign investors to the Chinese, Taiwanese and Korean markets accounts for most of the rebound. It should be noted, however, that investment outflows from Indian markets continued. At first sight, the oil shock has generated much higher volatility in portfolio investments flows than in 2022, but volatility was concentrated in a few markets.

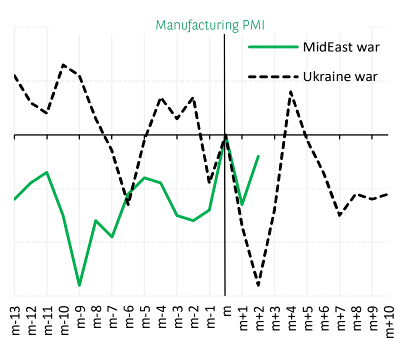
April 2026 :
A much less severe CPI inflation rebound ...



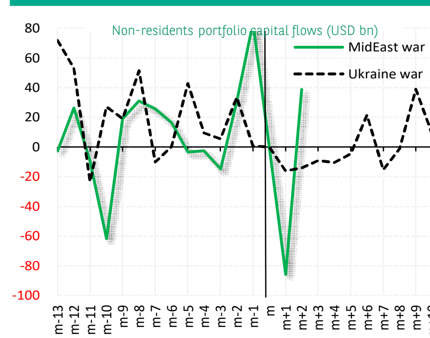
April 2026: ... but a stronger acceleration in input and output producer prices



April 2026 : Better business confidence after the March shock



April 2026 :
A marked rebound in portfolio investments



Change since m = 0 = February 2026 / February 2022

Source: National Statistical Offices, IIF, S&P Global, BNP Paribas

Oil & gas: The sharp rise in U.S. exports is providing temporary relief to the oil market, but prices remain very high

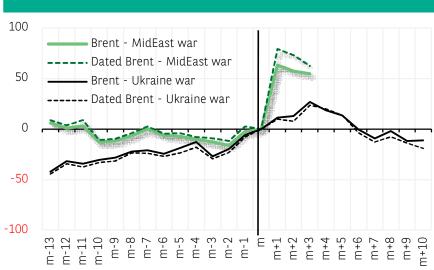
For now, European oil and gas prices appear to be reacting more strongly to the energy shock caused by the war in the Middle East than they did to the shock that followed Russia's invasion of Ukraine.

Oil: The growing loss of barrels available on the market due to the closure of the Strait of Hormuz, repeated attacks on production capacity in the Gulf, and restrictions on traffic through the Strait increase the risk of a physical oil shortage in the short term. This has led to a sharp reaction in the prices of physical barrels (dated Brent). In recent weeks, better pricing of this risk of shortage has caused the prices of futures (Brent) to converge with that of the physical barrel (dated Brent). Furthermore, the sharp rise in oil exports from the United States and, to a lesser extent, the decline in Chinese imports have eased tensions in the physical market and pushed prices lower.

Gas: The reaction of the spot gas price in Europe (TTF) has been more moderate than that of oil. This is due in particular to 1) European countries' limited direct dependence on gas from the Gulf, 2) the reduction in European demand as winter ends, and 3) the decline in Asian demand. Nevertheless, TTF prices remain high and have trended upward over the past month due to the ongoing blockade of the Strait and the start of the restocking period in Europe.

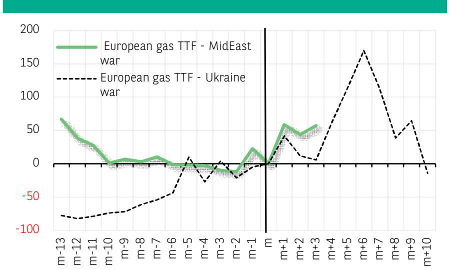
Electricity: Unlike 2022, wholesale electricity prices in Europe have been falling since the start of the conflict. Gas prices remain an important determinant of wholesale electricity prices, but progress in decarbonation of the electricity mix since 2022 and favorable weather conditions explain this recent development.

May 2026: Narrowing spread between the physical barrel price and futures price



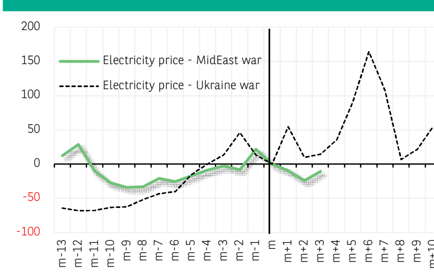
Note: change % since 02/27/2026 - 02/23/2022; last price 05/18/2026

May 2026: Rebound in LNG prices in Europe



Note: change % since 02/27/2026 - 02/23/2022; last price 05/18/2026

May 2026: Wholesale electricity prices in Europe have not reacted yet



Note: change % since 02/2026 - 02/2022

Source: Bloomberg, Ember, BNP Paribas

UP AGAINST CHINA'S INDUSTRIAL SURGE, EUROPE HAS STRENGTHS BUT IS SEEKING A STRATEGY

China's rise is undermining major sectors of European industry. However, as the German economy illustrates most clearly, Europe is shifting, driven by investment cycles in defence, electrification and artificial intelligence. It is redirecting its exports and managing to maintain strong positions, particularly in high value-added services, where exports to China are trending upwards. Yet this repositioning remains fragile and could be hampered by the economic costs of the conflict in the Middle East. To consolidate its positions, Europe must accelerate the unification of its internal market and do more to strengthen its industrial policy. This is the aim of the 'One Europe, One Market' agenda.

GERMANY IS ONCE AGAIN BECOMING A DRIVING FORCE

The German economy is gradually moving away from its traditional model. Historically reliant on the automotive and chemical industries – two sectors facing particularly fierce competition from China – it is now shifting its focus towards defence, aerospace, and electronic and electrical equipment. This is confirmed by the figures for new industrial orders (*see Chart 1*). Now the second-largest contributor to NATO's budget, Germany is thereby embarking on a historic shift that is already bearing fruit.

In addition, by significantly increasing its defence spending – and despite sourcing some of its supplies from outside Europe – Germany will provide additional opportunities for the European industrial base. However, this effort is not an isolated one within the European Union (see our analysis), as, in 2025, Denmark, Sweden, the Netherlands and Spain collectively committed to a greater increase in their defence budgets than Germany's additional expenditure. The EUR 150 billion SAFE[1] fund, intended to finance the European rearmament effort, will generate an additional increase in demand that will benefit European defence manufacturers, particularly in EU countries that are

1 Security Action for Europe.

German industry is benefiting from current investment cycles

New industrial orders (index 2021=100, 6-month moving average)

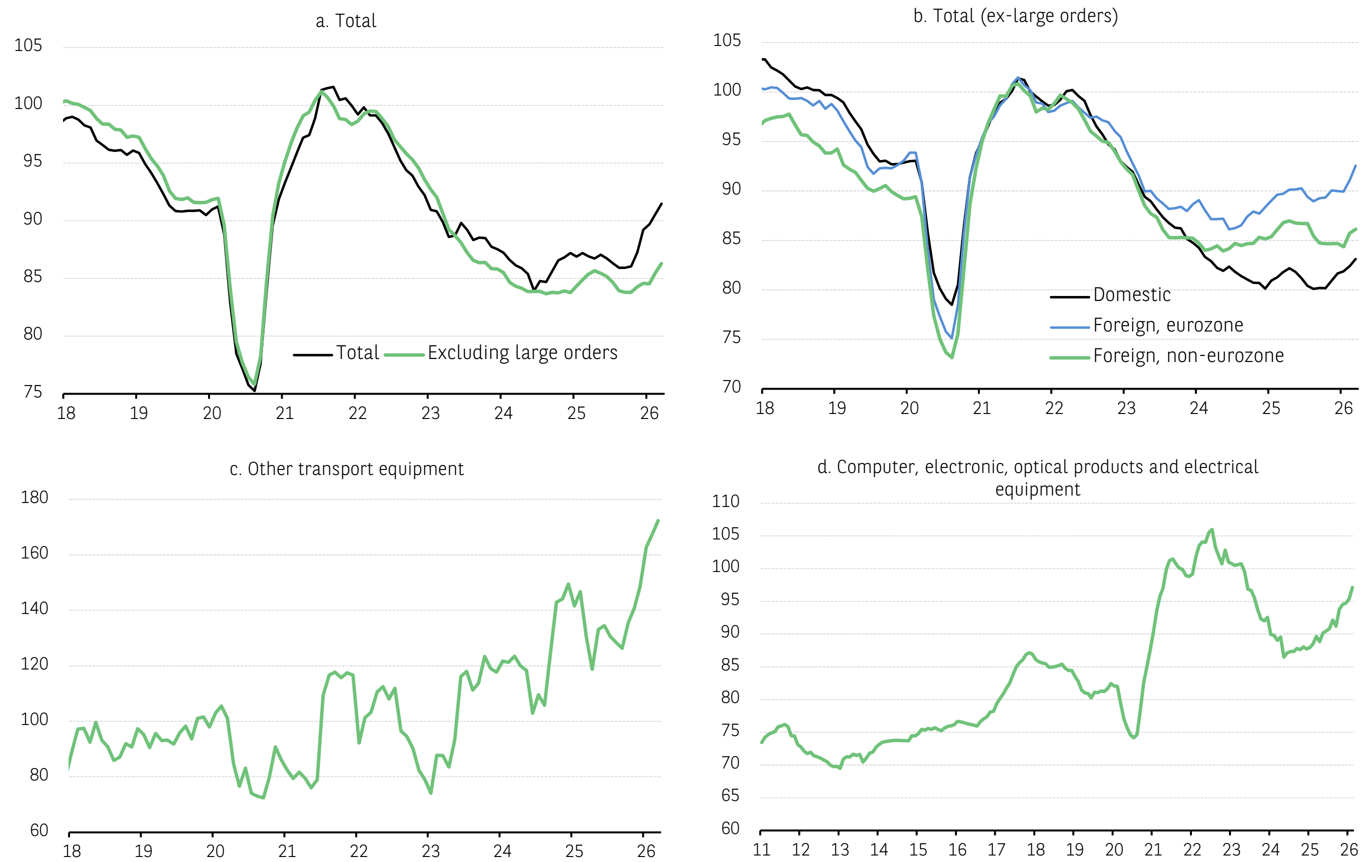


CHART 1

SOURCE: DESTATIS, BNP PARIBAS

accelerating their military build-up, especially in Eastern Europe (most notably, Poland and Romania). This will encourage the development of new technological niches in which China is not yet able to compete, even though Beijing is investing heavily in the defence sector.

German Mittelstand companies are capitalising on defence, electrification and AI investment cycles through inputs into sectors such as electronics and IT, and electrical equipment (*see Charts 1c and 1d*). This is underlined by the sustained rise in new orders for communications equipment (+30% since January 2025[2]), electronic parts (+11%) and precision optical instruments (+30%). These two sectors account for 15% of German industrial production[3] (ahead of machine tools and the automotive sector, at 12% each). Orders for 'other transport equipment' (accounting for 5.8%) – driven mainly by the aerospace sector – are also seeing an unprecedented rise in volumes. This rebounding demand is still hampered by production constraints. However, it points to a recovery in industrial activity.

There are still significant short-term risks, as the energy crisis caused by the conflict in the Middle East could hit the German automotive and chemicals sectors even harder. Despite this, German growth is expected to strengthen to 0.8% in 2026, and then 1.1% in 2027. By diversifying its industrial base, Germany is building up a capacity for recovery that should not be underestimated.

HOW SHOULD EUROPE POSITION ITSELF AGAINST CHINA?

The balance of power remains structurally unfavourable. The EU's trade deficit with China widened further in 2025 (EUR 360 billion). The balance has swung into the red for the automotive sector, which is a turning point. In addition, Europe's dependence on Chinese imports shows no sign of abating. China's share of total EU imports even increased in 2025. The country remains essential for Europe's supply of critical materials and vital equipment for the green transition (see our analysis).

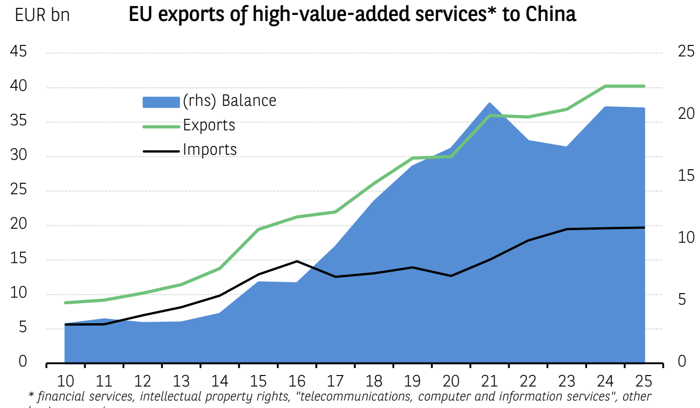
Nevertheless, Europe retains competitive advantages in the aerospace and pharmaceutical sector[4] and a range of cutting-edge industrial equipment on which China's energy transition and industrial development still depend, most notably semiconductors[5].

Furthermore, in the services sector, the balance of power still favours Europe. In recent years, Europe had been recording a growing surplus in high value-added services – intellectual property, IT/telecommunications services and finance (*see Chart 2*). That said, these service exports stagnated in 2025. This decline is partly due to unfavourable exchange rate effects, as the depreciation of the renminbi, by around 8% against the euro in 2025, has eroded the competitiveness of European exporters across all markets (goods, services and third markets).

However, China's 15th Five-Year Plan targets these sectors (see our analysis) and China's efforts in research and development continue to grow. According to the OECD, in 2024, R&D expenditures exceeded America's in terms of volume[6] to reach 2.7% of GDP (*see Chart 3*), compared with 2.1% for the EU-27 (Germany spent more on R&D, at 3.1% of GDP).

Furthermore, US protectionism has redirected some Chinese exports towards Europe, exacerbating the pressure on sectors that have already been weakened by Chinese overcapacity.

In the services sector, the EU benefits from China's transformation



* financial services, intellectual property rights, "telecommunications, computer and information services", other business services

CHART 2 SOURCE: EUROSTAT, BNP PARIBAS

China's technological rise continues

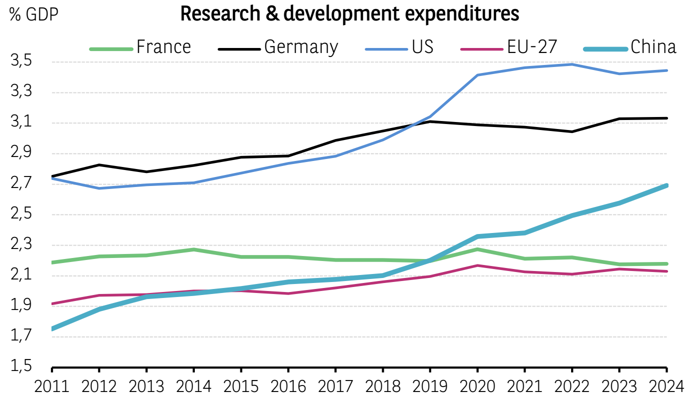


CHART 3 SOURCE: OECD

This nevertheless provides Europe with leverage in negotiations, as it is a key export market for Beijing's high value-added products, as well as a location for its companies to set up operations. In addition, enhanced partnerships between Chinese and European car manufacturers on European soil reflects a certain pragmatism. This is because Europe has unused production capacity, and China wants to establish a presence in Europe to better secure its third-party markets.

2 Data averaged over twelve months.
3 Weight in the industrial production index (2021 structure).
4 According to our calculations, the EU's market shares in the aerospace and pharmaceutical sectors stood at 33% and 62%, respectively, compared with less than 3% for China (source: UN Comtrade).
5 For further details, see *Relearning the Language of Power: Geopolitical coalitions and pooled geoeconomic deterrence as Europe's plan B for a post-WTO world*, Geostrategic Europe Taskforce, February 2026.
6 According to the latest OECD data (March 2026), China spent USD 859.3 billion on research and development in 2024, compared with USD 847.9 billion for the United States in purchasing power parity terms.

While a recalibration of competition rules is needed in relation to China, the challenge for Europe is not to engage in a tariff war that would backfire on its own exporters and drive up the cost of its imports of critical inputs. The challenge is to accelerate the transformation of its industrial base. For this purpose, Europe can rely on new growth hubs, as Spain, Portugal and some Central European economies are currently benefiting from lower production costs. It can draw on a lower-carbon electricity mix (renewables and nuclear accounted for 71% of electricity generation in 2025). The challenge now is to harness these assets in a coherent and structured manner.

The diverging interests among Member States is a structural obstacle, but the current economic and security climate allows for significant progress. As a result, a structured response from Brussels is beginning to take shape, centred on two complementary pillars: protection and diversification. The latest development is the provisional agreement on the Critical Medicine Act, reached on 12 May, that is intended to help to reduce Europe's dependence on Asian suppliers for a list of essential medicines. Rules on supply diversification could soon be extended to sectors most exposed to Chinese overcapacity[7]. Another step forward, though still under negotiation, is the Industrial Accelerator Act, which would open access to Chinese FDI, under stricter conditions, to sectors where upscaling in Europe is needed. This would be a realistic and mutually beneficial option for the EU and China. On the other hand, safeguard measures in strategic industrial sectors where Chinese overcapacity is at its largest (chemicals, automotive and steel) justify explicit and coordinated public European support.

With this in mind, the recommendations of the Draghi and Letta reports aiming to strengthen the European internal market remain more relevant than ever. The economies of scale enabled by a strengthened internal market and European harmonisation policies are key components of the 'One Europe, One Market' roadmap drawn up by the European Commission and endorsed by the Member States following the European Council meeting on 18 April (see table in our latest EcoPerspectives).

EU EXPORTS ARE BEING REORIENTED

These advances, albeit very gradual, together with the strengthening of the investment cycle in Europe, are laying the foundations for a rise in intra-EU trade. Intra-EU trade began to recover in 2025 (+0.4% in volume) after several years of contraction. The rise in German industrial orders from the Eurozone sends a positive signal for 2026 (*see Chart 1b). At the* same time, the EU-27 are finding new markets by regionalising part of their trade, through increased exports to the EFTA (+2.0% in volume in 2025) and the EU's immediate periphery (see our analysis). Exports to the United States also held up well in 2025 (+0.6%). Furthermore, the EU has responded to trade tensions by stepping up trade negotiations (with Mercosur, India, Malaysia and Australia) and strengthening strategic partnerships on access to critical minerals (Chile, Australia and Canada).

***

By capitalising on ongoing structural cycles – defence, artificial intelligence and energy transition – Europe is cushioning part of the 'Chinese shock', whilst remaining heavily dependent on industrial inputs from China. Europe's resilience strategy will be based on three complementary pillars: shifting industrial focus towards the most promising sectors, strengthening the internal market and harmonising policies, and securing supply chains. Up against China's rise, time seems to be working against Europe, but the EU's room for manoeuvre is not as limited as it appears.

Guillaume Derrien
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7 See Financial Times, EU plans to force companies to buy parts from non-Chinese suppliers, 18 May 2026.

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ADVANCED ECONOMIES

CHINA / UNITED STATES

Good understanding, but little concrete progress. Following their meeting, President Xi Jinping described it as a "historic and significant" visit aimed at fostering a "constructive, strategic and stable relationship", while Donald Trump spoke of "a great deal of positivity" and "fantastic trade deals" (although only a promise to purchase 200 Boeing aircraft has been mentioned so far). China is calling for the reopening of the Strait of Hormuz, while Mr Trump mentioned a share understanding regarding the necessity of preventing Iran from acquiring nuclear weapons. China has also issued a clear warning on the subject of Taiwan. A visit by Xi Jinping to the United States could take place in September.

UNITED STATES

CPI inflation is accelerating, at +3.8% y/y in April (2.4% y/y in February) – a high not seen since May 2023 – primarily driven by fuel prices (+28.4% y/y). Core inflation reached +2.7% y/y (+2.5% in February), driven by services (+0.5% m/m, +0.3pp), particularly in transport. The rise in producer prices (+6.0% y/y, +1.7pp – the highest since late 2022) – is also reflected in the core figure (+4.4% y/y, +0.7pp), due to transport services. In April, retail sales rose again (+0.5% m/m, indicating consistent growth in 2026), driven by their core component (excluding petrol and motor vehicles). Industrial production (+0.7% m/m) was buoyed by aerospace, IT and a rebound in the automotive sector. During his Senate confirmation hearing, K. Warsh, confirmed by the narrowest majority since 1977 (54-45), expressed his desire for the Fed to stop publishing its policy rate forecasts (dot plots) and indicated that he would hold fewer press conferences than his predecessor. *Coming up: the FOMC minutes (Wednesday).*

EUROPEAN UNION

Measures relating to supply chains. The Critical Medicines Act aims to boost production capacity in Europe, diversify supply chains and strengthen coordination between Member States for joint procurement. A draft directive seeks to broaden supply sources (chemicals, industrial machinery), by capping the share of purchases from any single supplier at between 30 and 40 per cent.

EUROZONE

Confirmation of the slowdown in GDP growth in Q1, to 0.1% q/q (0.2% q/q in Q4), linked to a pullback in Ireland, where growth is highly volatile. Employment rose by 0.1% q/q in Q1. Industrial production grew by 0.2% m/m in March, bolstered by aerospace, IT and electronics. *Coming up: foreign trade (Tuesday), PMI and consumer confidence, Q1 labour costs (Thursday).*

France: Exports and wages holding up well; unemployment rebounding. Output growth is thought to have slowed in April according to the Banque de France (BdF), but aerospace deliveries rebounded (+20% y/y in April, after -17% y/y in Q1). Consequently, GDP growth is expected to reach 0.2% q/q in Q2, according to our nowcast. The unemployment rate rose to 8.1% in Q1 2026 (+0.2pp q/q), weighed down by a decrease in salaried employment (-0.1% q/q in Q1 in the private sector) and a decline in new apprenticeship contracts (-2.8% y/y in January-February). Hourly wages rose by 1.9% y/y in Q1 (compared with +1.7% in Q4), exceeding inflation (1.2% y/y in Q1). This trend is set to reverse in Q2 (we forecast +2.1% and +2.9% respectively), despite a 2.4% increase in the minimum wage on 1st June. Business insolvencies reached nearly 70,000 over the 12 months to the end of March, according to the Banque de France. In Q1, they rose by 8% y/y. This trend is comparable to that of business start-ups in Q1 (+14% y/y, of which +9% for companies), although the latter slowed in April. In Q1, the economic impact of insolvencies increased slightly, accounting for 0.54% of bank loans (0.52% at the end of December). Furthermore, 68 large firms and mid-sized companies went into insolvency over the past 12 months (59 a year earlier). *Coming up: PMI (Thursday), INSEE business climate survey (Friday).*

Germany: Economic expectations have stopped deteriorating, according to the ZEW. There was an improvement in May (+7 points m/m to -10.2), while the index for the current situation fell (-4.1 points to -77.8; mid-2025 level). The rise in wholesale prices (+6.3% y/y in April compared with +4.3% in March) is primarily driven by petroleum products (+37.3%) and ores, metals and non-ferrous metal products (+40.2%). *Coming up: producer prices (Wednesday), PMI (Thursday), GfK consumer confidence, Ifo business climate and Q1 GDP (Friday).*

Italy: Industrial production rose in March, up 1.5% year-on-year (0.7% month-on-month), following a 0.4% year-on-year increase in February, driven by capital goods. *Coming up: foreign trade (Monday).*

JAPAN

Long-term interest rates have risen amid concerns over the budget deficit and inflation. Prime Minister S. Takaichi has called for a supplementary budget to be drawn up to tackle rising prices; this could be financed through new debt issuance. Long-term rates have risen, particularly the 10-year rate (2.74% on 18 May; up 23bp in a week), against a backdrop of producer price inflation reaching its highest level since 2014 in April (+4.9% y/y). The war in Iran has delayed the key interest rate hike, as highlighted in the 'Summary of Opinions' from the BoJ's April meeting. However, a hike could occur "as early as the next meeting", "even if the situation in the Middle East remains unclear". Household consumption expenditure contracted by 2.9% y/y in March. *Coming up: Q1 GDP (Tuesday: BNPP forecast at +0.5% q/q), PMI (Thursday), CPI inflation (Friday).*

UNITED KINGDOM

Strong GDP growth in Q1, but a rise in long-term rates. Growth reached 0.6% q/q in Q1 (+0.2% q/q in Q4 2025), driven by private and public consumption. Industrial production rose by 0.8% q/q in Q1. In March, the trade deficit hit a record high of GBP 27.2bn (driven by increased imports of fuel, machinery and transport equipment). Keir Starmer's position as leader of the government remains uncertain, despite his refusal to resign: long-term rates are approaching record levels, at 5.15% for the 10-year and 5.81% for the 30-year on Monday 18 May. The legislative agenda set out in the King's Speech (including strengthening ties with Europe, reforming the National Health Service, and establishing a law on energy independence) remains on hold. *Coming up: unemployment and wages (Tuesday), inflation (Wednesday), PMI (Thursday), GfK consumer confidence, retail sales (Friday).*

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

Saudi Arabia: The rise in prices remain moderate. In April, inflation slowed slightly to 1.7% y/y (compared with 1.8% in March). The rise in food prices remained modest (+0.6% year-on-year), as was the increase in transport costs (+1%).

South Africa: The markets showed minimal reaction following the reopening of impeachment proceedings against President Ramaphosa. Last week, the South African rand remained stable against the US dollar, while the average yield on 10-year government bonds rose by just 11bp. An inquiry committee is set to determine whether to recommend the President's impeachment. If so, the impeachment motion will need to be ap-

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proved by a two-thirds majority in Parliament, where the ANC (President Ramaphosa's party) holds 40% of the seats.

ASIA

China: Slowdown in April. Following a stronger-than-expected first quarter, economic activity fell short of expectations in April. Industrial production growth slowed to +4.1% y/y in real terms (down from +5.7% in March), while growth in the services sector slowed to +4.3% (+5% in March). On the demand side, goods exports remained robust, but investment and private consumption saw a significant decline. Retail sales posted a slight drop in volume, with car sales particularly affected, mainly due to the reduction in government subsidies for electric vehicle purchases. The contraction continues in construction-related sectors, such as cement and steel, while certain industries also seem to have been affected by the ongoing conflict in the Persian Gulf (oil refineries, chemicals).

India: As external accounts are under pressure, the government is raising taxes and prices. With the regional elections now over, the Prime Minister has announced a sharp rise in import duties on gold and silver (from 6% to 15%) to ease pressure on the external accounts and the rupee (-5.0% against the dollar since the start of the conflict in the Middle East). Furthermore, to lessen the financial burden on state-owned oil companies and to curb demand, petrol and diesel prices have been increased (+3%) – a modest rise compared to the surge in international oil prices, yet one that could lead to further hikes. The acceleration in producer price inflation (+8.3% y/y in April) and the downward pressure on the rupee could prompt the monetary authorities to raise key interest rates. The deterioration in the external accounts reflects the widening trade deficit, which is linked to rising energy prices, but also significant outflows of foreign capital over the past two months.

Indonesia: MSCI has announced the removal of several major Indonesian companies from its indices (which account for 17% of the Indonesian index) as the US firm considers that certain market capitalisations are not sufficiently attractive for institutional investors, given the high concentration of share ownership. MSCI had previously announced in January that it was reviewing the overall status of the Indonesian market, with the possibility of downgrading it from an emerging market to a frontier market. The removal of these major companies from the index has exacerbated downward pressure on the rupiah.

Malaysia: Growth has stalled compared with the previous quarter. In Q1 2026, year-on-year growth remained robust (+5.4%), but real GDP showed no change from the previous quarter. All demand components have slowed, including exports.

Thailand: Robust growth in Q1. Growth exceeded expectations (+2.8% y/y), driven in particular by a rebound in investment (+2.3% y/y). Exports continued to perform well; however, the rise in investment led to a sharp increase in imports, leading to a negative contribution from net exports to overall growth. For 2026 as a whole, the national statistics agency expects growth to range between 1.5% and 2.5%. Thailand has already seen a decline in tourist arrivals due to the conflict in the Middle East and rising energy prices (-3.4% y/y over the first four months of the year).

EMERGING EUROPE

Poland, Romania and Slovakia: Mixed economic performance in Q1. The Polish economy remains the most dynamic in the region (+0.5% q/q; 3.4% y/y). The effects of the war in the Middle East are still barely noticeable, and growth is expected to remain resilient in 2026, bolstered by European funds (Recovery and Resilience Fund: 3.9% of GDP) allocated for this year. In Romania, GDP fell by 0.2% q/q (-1.7% y/y) following a decline of 1.8% q/q (-1.4% y/y) in Q4 2025. The breakdown of the components is not yet known, but all indications point to subdued consumption in Q1 due to high inflation. With a carry-over of -1.3% in Q1 for 2026, a recession is not ruled out. In Slovakia, GDP growth stood at +0.2% q/q (+0.9% y/y), primarily driven by household consumption and external demand, while investment declined.

Romania: Double-digit inflation in April. Inflation reached 10.7% y/y, up from 9.9% y/y in March, attributed to rising prices for food (+7.4% y/y), fuel (+15.7%) and services (+13%).

Türkiye: Official inflation and budget deficit forecasts revised upward. In its latest inflation report, the central bank revised its year-end inflation forecast upward from 16% to 24% for 2026 and from 9% to 15% for 2027. Finance Minister Simsek warned that the budget deficit could reach 4% compared to 2.9% in 2025. Since the start of the conflict in Iran, the CBRT has met the money market's liquidity needs through refinancing operations conducted at the upper end of the range, ensuring that the benchmark interest rate observed in money markets reached 40%, as the main policy rate has been maintained at 37% since January. Governor F. Karahan reaffirmed that "monetary authorities will maintain the restrictive monetary policy stance until price stability is achieved in line with the revised intermediate targets."

LATIN AMERICA

Argentina: Inflation is slowing. The monthly rise in consumer prices slowed significantly in April, to 2.6% from 3.9% in March (and 2.8% in April 2025). This normalisation, following the sharp acceleration in March, was aided by the stability of the peso against the dollar since mid-February. Since the start of the year, the peso has appreciated by 4%. Year-on-year, the inflation rate stands at 32.4%.

Brazil: The increase in prices continues. Inflation stood at 4.4% y/y in April, compared with 4.1% in March. Although it is approaching the upper limit of the central bank's inflation target, the central bank could continue to cut its key interest rate in June, following two 25bp cuts since March.

Colombia: Growth is accelerating slightly, but vulnerabilities remain. In Q1 2026, growth reached 2.2% y/y (+0.1 percentage point compared to Q4 2025). On the demand side, it is once again being strongly driven by consumption, particularly government spending (+7.8%). Gross fixed capital formation rebounded sharply (+3.7%). On the supply side, growth was dragged down by the contraction in the mining and construction sectors. Growth is expected to slow in Q2, held back by monetary tightening and the erosion of fiscal margins.

Peru: The central bank has kept its key interest rate at 4.25% for the eighth consecutive month. Inflation reached 4% y/y in April, driven by core inflation (4.4%), but the central bank continues to expect inflation to return to 2% during 2027. On the political front, after a particularly close and contested vote count, the second candidate for the second round of the presidential election on 7 June has been confirmed. Keiko Fujimori, who received 17% of the vote in the first round, supports a pro-market stance that is favourable to investors, particularly foreign ones. She will face Roberto Sanchez, who received 12% of the vote, and is advocating for a larger role of the state, particularly in strategic sectors and social policies.

COMMODITIES

OPEC and the IEA (International Energy Agency) have once again revised their forecasts for global oil demand. The IEA now predicts a further reduction in global demand of 0.33 mb/d compared with its April forecast, and a reduction of 1.3 mb/d compared with its pre-conflict forecast, with the annual forecast for 2026 now standing at 104 mb/d. For the first time since the start of the war, OPEC is also revising its global demand forecast downward by 0.2 mb/d, projecting it to reach 106.33 mb/d in 2026. In contrast, OPEC still anticipates a rise in global demand of 1.2 mb/d compared to 2025, while the IEA foresees a decrease of 0.42 mb/d for 2026, including a significant decline in Q2 2026 (-2.45 mb/d compared to Q2 2025).

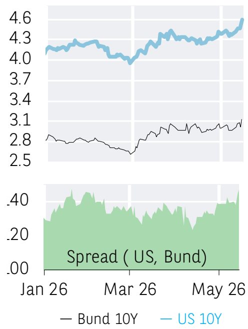
The United States is maintaining high exports of crude and refined oil (averaging 13.1 mb/d in the week of 8 May, up 20% year-on-year), at the expense of stock levels (both commercial and Strategic Petroleum Reserve), which are under significant strain. These stock levels have returned to those seen in the same period in 2025 (-3.7% since the start of the conflict).

MARKETS OVERVIEW

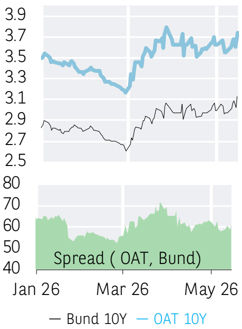
Bond Markets

	in %	in bps			
	15/05/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.65	+11.0	+15.4	+56.6	+78.6
Bund 5Y	2.83	+14.9	+14.1	+36.8	+67.9
Bund 10Y	3.13	+15.0	+11.3	+26.4	+50.0
OAT 10Y	3.74	+17.8	+12.4	+24.0	+43.0
BTP 10Y	3.94	+21.7	+13.2	+44.6	+30.4
BONO 10Y	3.60	+17.9	+10.9	+35.8	+36.4
Treasuries 2Y	4.06	+18.0	+29.4	+58.2	+8.0
Treasuries 5Y	4.26	+24.1	+37.0	+53.3	+19.2
Treasuries 10Y	4.60	-1.2	+31.3	+43.0	+3.2
Gilt 2Y	4.56	+17.8	+33.7	+80.8	+58.5
Treasuries 5Y	4.71	+24.1	+36.7	+85.9	+56.3
Gilt 10Y	5.18	-3.9	+36.5	+47.6	+17.2

Bund 10Y & US Treas. 10Y



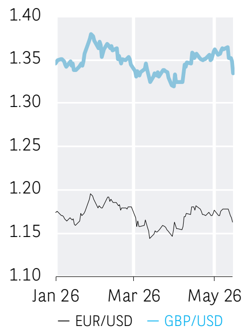
Bund 10Y & OAT 10Y



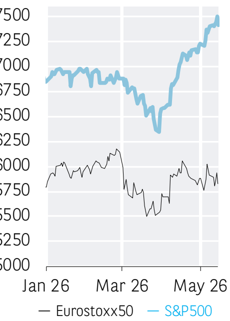
Currencies & Commodities

	Level	Change, %			
	15/05/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.16	-1.2	-1.4	-1.0	+4.0
GBP/USD	1.33	-2.1	-1.7	-0.8	+0.5
USD/JPY	158.60	+1.3	-0.2	+1.2	+8.7
DXY	99.28	+1.4	+1.3	+1.0	-1.0
EUR/GBP	0.87	+0.8	+0.2	-0.2	+3.5
EUR/CHF	0.91	-0.1	-0.8	-1.7	-2.3
EUR/JPY	184.45	+0.0	-1.7	+0.2	+13.1
Oil, Brent ($/bbl)	105.80	+4.4	+11.3	+73.9	+63.8
Gold ($/ounce)	4553	-3.3	-5.4	+5.3	+41.9

EUR/USD & GBP/USD



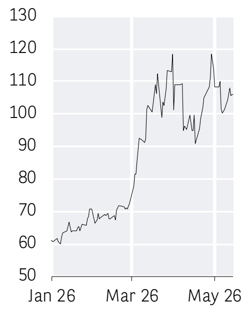
EUROSTOXX 50 & S&P500



Equity Indices

	Level	Change, %			
	15/05/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4742	-0.3	+3.3	+7.0	+23.4
North America					
S&P500	7409	+0.1	+5.5	+8.2	+25.2
Dow Jones	49526	-0.2	+2.2	+3.0	+17.0
Nasdaq composite	26225	-0.1	+9.2	+12.8	+37.2
Europe					
CAC 40	7953	-2.0	-3.9	-2.4	+1.3
DAX 30	23951	-1.6	-0.5	-2.2	+1.1
EuroStoxx50	5828	-1.4	-1.9	+0.6	+7.7
FTSE100	10195	-0.4	-3.4	+2.7	+18.1
Asia					
MSCI, loc.	1859	+0.0	+0.9	+10.1	+30.0
Nikkei 225	61409	-2.1	+5.6	+22.0	+62.6
Emerging					
MSCI Emerging ($)	1668	-2.5	+5.4	+18.7	+42.2
China	78	-2.7	-1.2	-5.4	+4.8
India	922	-4.1	-3.8	-12.9	-12.9
Brazil	1862	-7.2	-12.7	+13.1	+29.8

Oil, Brent ($/bbl)

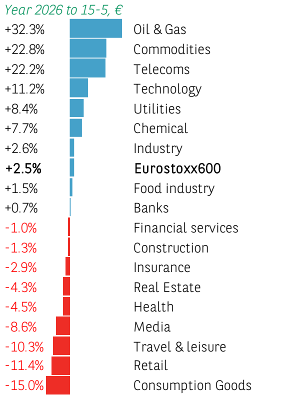


Gold ($/ounce)

Performance by sector

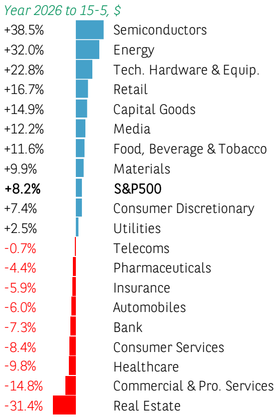
Eurostoxx600

Year 2026 to 15-5, €

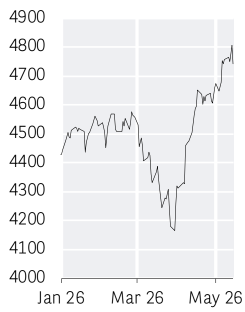


S&P500

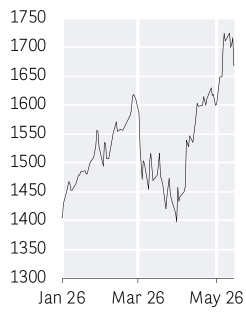
Year 2026 to 15-5, $



MSCI World ($)



MSCI Emerging ($)

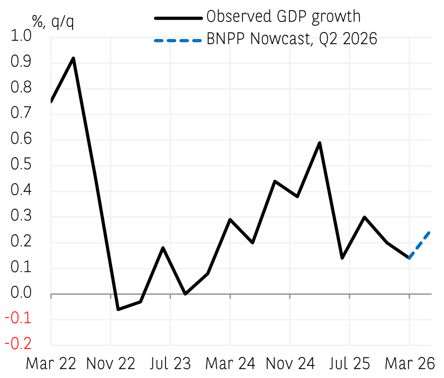


SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 18 May 2026

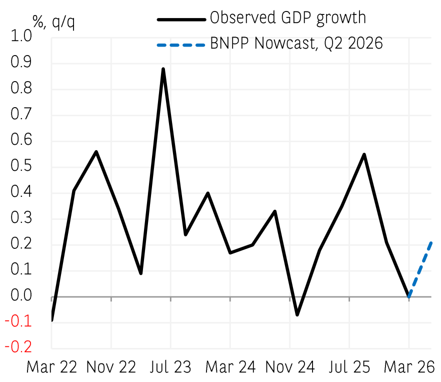
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



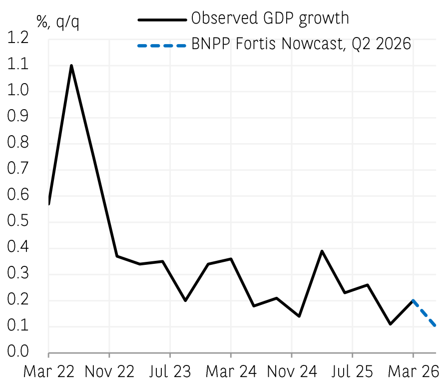
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our *nowcast* for Eurozone growth indicates a strengthening of activity in Q2 (+0.3% q/q). This is driven primarily by stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI during Q2 2026, which is supported by inventory effects.

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

Our *nowcast* for Q2 Belgium GDP growth suggests a low figure (0.1% q/q), driven by the propagation of energy price shock throughout the economy, with 40% of construction and manufacturing firms announcing selling price hikes in the next 3 months.

Read the Nowcast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.1	2.4	2.3	2.9	2.7	3.8	3.0
Japan	0.1	1.2	0.5	0.4	2.7	3.1	2.6	3.3
United Kingdom	1.1	1.4	0.7	1.2	2.5	3.4	3.6	3.3
Euro Area	0.9	1.5	1.0	1.3	2.4	2.1	3.0	3.3
Germany	-0.5	0.4	0.8	1.1	2.5	2.2	3.2	3.5
France	1.1	0.9	0.8	1.1	2.3	1.0	2.4	1.9
Italy	0.5	0.7	0.7	0.8	1.1	1.7	3.1	3.7
Spain	3.5	2.8	2.3	2.2	2.8	2.7	3.3	3.1
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.4
India*	7.1	7.6	6.6	6.8	4.6	2.1	4.5	4.2
Brazil	3.4	2.3	2.0	1.6	4.4	5.0	4.7	4.5

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 18 May 2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Spot 15/05	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.60	4.40	4.50	4.55	4.55
Eurozone	deposit rate	2.00	2.25	2.50	2.50	2.50
	Bund 10y	3.13	3.15	3.20	3.35	3.10
	OAT 10y	3.74	3.77	4.00	4.17	3.60
	BTP 10y	3.94	3.85	3.95	4.10	3.60
	BONO 10y	3.60	3.57	3.64	3.79	3.42
UK	Base rate	3.75	4.00	4.25	4.25	3.50
	Gilts 10y	5.18	4.70	4.60	4.50	4.30
Japan	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.68	2.40	2.55	2.60	2.70

Exchange Rates		2026				2027
End of period		Spot 15/05	Q2	Q3	Q4	Q4
USD	EUR / USD	1.16	1.19	1.20	1.21	1.25
	USD / JPY	159	159	159	160	160
	GBP / USD	1.33	1.35	1.35	1.35	1.36
EUR	EUR / GBP	0.87	0.88	0.89	0.90	0.92
	EUR / JPY	184	189	191	194	200

Brent		2026				2027
Quarter Average		Spot 15/05	Q2	Q3	Q4	Q4
Brent	USD/bbl	106	110	90	85	83

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 18/05/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.4%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.8% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is experiencing a slowdown in both demand and supply, reflecting a less dynamic economy than after the pandemic and the administration's tighter immigration policy. We expect the Fed Funds target range to remain steady at 3.5% - 3.75%, with a FOMC shifting to a 'two-sided outlook', signaling equal readiness to implement rate hikes or cuts if warranted.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures may continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

Eurozone growth would slow due to spillovers from the Middle East conflict. In Q1 2026, GDP growth disappointed as a result of one-off factors (France and Ireland) but remained resilient in Germany and Italy. In 2026, consumption, would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 1.0% in 2026 and 1.3% in 2027, while inflation would rebound to 3.0% in 2026 and 3.3% in 2027 (compared to 2.1% in 2025). Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to 0% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.4% in 2026, after 1% en 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow down in 2026, with growth limited to 0.7% after 1.4% in 2025; following a forecasted +0.4% q/q in Q1, the average quarterly pace would fall to around +0.1%. This slowdown would occur against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation would reach 3.6% y/y before easing only gradually to 3.3% y/y in 2027, remaining well above BoE's target. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a tightening of 50 basis points in 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

The energy shock is set to impact the strong momentum of the Japanese economy negatively. We expect annual GDP growth to stand at 0.5% in 2026, down from 1.2% in 2025. Higher inflation and production costs are expected to weigh on the economy's overall performance. On the other hand, the latter is still tempered by structural supply constraints and supported by fiscal policy and wage growth. Inflation has generally overshot the 2% y/y target since 2022 and is expected to stay there through at least 2028. Accordingly, the Bank of Japan initiated a process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 0.75% so far (previously negative). We expect the process to extend, including one hike (25pb) in Q2 2026, until a 2.0% terminal rate in end-2027. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.21 by Q4 2026 and 1.25 by Q4 2027. We anticipate stabilisation of the yen and the GBP against the dollar in 2026 (USD/JPY 160 and GBP/USD 1.35 by Q4 2026) and 2027.

CHART OF THE WEEK

13 May 2026

THE IMPACT OF THE ENERGY CRISIS ON PUBLIC FINANCES IN EMERGING ASIA

Johanna Melka

Rising subsidies should moderately widen fiscal deficits

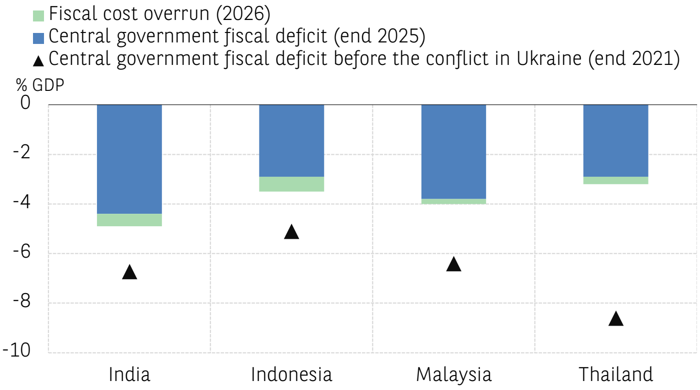

CHART 1

SOURCE: MOF, BNP PARIBAS

Indonesia: more vulnerable to rising US long-term yields

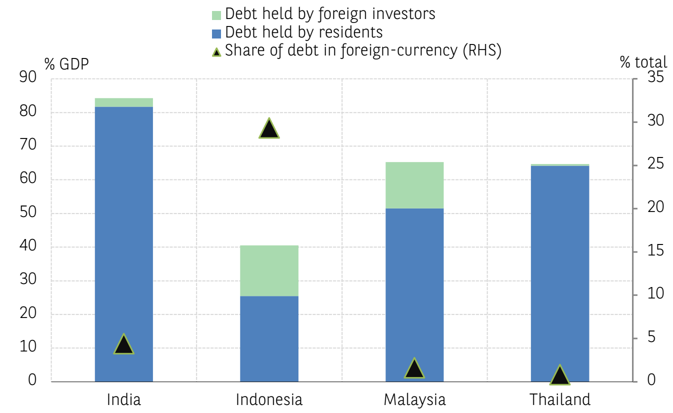

CHART 2

SOURCE: MOF, BNP PARIBAS

Emerging Asian countries are particularly vulnerable to the energy shock caused by the conflict in the Middle East. Beyond supply issues, rising prices pose a significant risk to these countries, where domestic demand is a major driver of economic growth. To limit the impact, some Asian countries (notably India, Indonesia, Malaysia and Thailand) have opted to partially subsidise energy and fertilisers. The additional cost to their public finances is expected to remain manageable provided that the average crude oil price does not exceed USD 100 per barrel over the year. However, this subsidy policy poses risks to their public finances, particularly if external financing conditions tighten. Indonesia is the country most exposed to a rise in US long-term interest rates.

Increased subsidies to contain the cost borne by households

In response to the sharp rise in international energy prices, India and Indonesia (whose growth is mainly driven by domestic demand) have kept pump prices fixed since the start of the conflict in the Middle East. Malaysia has chosen to exclusively keep stable the price of the fuel mainly used by households (RON 95). Meanwhile, Thailand, after leaving its prices unchanged in the early weeks of the conflict, has ultimately decided to target only the most vulnerable households and businesses by providing them with partial direct subsidies. India has also increased its fertiliser subsidies so as not to increase significantly production costs for farmers, at a time when a number of elections were taking place in states where the ruling party historically did not hold a majority.

Such a strategy will undermine the ongoing fiscal consolidation.

What would be the fiscal cost if the price of a barrel of Brent crude averaged USD 92 in 2026?

Asian countries are in a much more comfortable fiscal position than they were on the eve of the energy crisis triggered by the war in Ukraine in early 2022. At that time, they were just emerging from the pandemic and their fiscal deficits had reached unprecedented levels.

The impact on public finances of the increased subsidies introduced since the start of the conflict in the Middle East is expected to remain modest (see Chart 1) as long as the average crude oil price does not exceed USD 100 per barrel over the year. The cost is estimated at between 0.2% of GDP in Malaysia and 0.6% of GDP in Indonesia, assuming that currencies stabilise at current levels, as any further depreciation against the dollar would automatically increase the cost incurred. In India, the resulting cost from increased fertiliser subsidies and the loss of fiscal revenue caused by the reduced excise duties on petroleum products is estimated at 0.5% of GDP. India, like Indonesia, Malaysia and Thailand, has the capacity to absorb this new shock to its public finances. Nevertheless, the increase in subsidies will delay their fiscal consolidation. Indonesia's fiscal deficit could exceed the 3% of GDP threshold set by parliament in 2026 (unless the government reduces significantly other kind of expenditures), which would cause significant concern among foreign investors.

Which countries would be most vulnerable to a rise in US long-term interest rates?

Rising bond yields are another source of risk for these countries. So far, central banks have kept their key policy rates unchanged and the rise in long-term rates has remained contained. However, a significant rise in US bond yields could change the situation. The most exposed country would be Indonesia, whose domestic market is too small to cover the government's financing needs and offset any tightening of financing conditions on international markets.

Since the start of the conflict in the Middle East, ten-year bond yields in emerging Asia have risen less than during the war in Ukraine. The increase ranged from 0 bps in Malaysia to 49 bps in Thailand (compared with an average of +65 bps in 2022). However, this trend could intensify should there be a rise in US long-term rates, which would weigh on these economies via three channels: i) capital outflows ii) downward pressure on currencies and iii) an increase in debt servicing costs. The most exposed countries would be those with the highest interest burdens (India), with short maturities, debt held more widely by foreign residents (Indonesia and Malaysia) and denominated more widely in foreign currencies (Indonesia).

The country whose government is least exposed to these risks is Thailand, as its debt (64.2% of GDP) is almost exclusively denominated in domestic currency and held by residents, whilst its interest burden is low (6% of revenue).

By contrast, although modest (40.5% of GDP), the structure of the Indonesian government's debt is viewed as the most fragile among the countries studied. Over 37% is held by foreign investors and more than 29% is denominated in foreign currency (see Chart 2). Furthermore, interest payments on its debt are already high (17.1% of its fiscal revenue in 2025), and higher than the level recorded in other countries, with the exception of India.

In Malaysia, although a significant proportion of government debt (65.3% of GDP) is also held by foreign investors (21.1% of the total), this debt has long maturities, which reduces its vulnerability to volatility in international financial markets. Furthermore, the domestic capital markets and the local investor base are sufficiently developed to finance the government's needs.

Finally, although the Indian government's debt is the highest (84.3% of GDP), its structure is risk-free, as it is almost exclusively denominated in local currency and held by residents. On the other hand, the interest burden on the debt is already very high (37.1% of its budget revenue), which severely constrains its investment spending. A significant rise in (domestic) interest rates represents the main risk.

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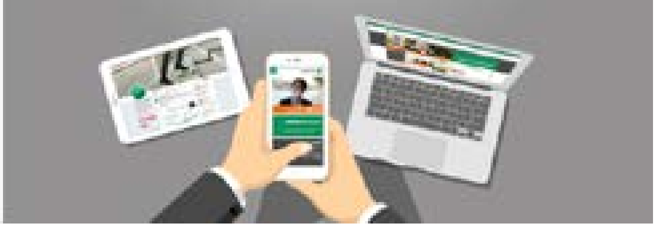

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CHINA'S 15TH FIVE-YEAR PLAN: PRIORITISING POWER OVER ADDRESSING IMBALANCES

The 15th Five-Year Plan, which outlines the roadmap for the Chinese economy from 2026 to 2030, does not signify a major shift in direction but rather continues on the path of the previous plan. It confirms, or rather reinforces, China's development strategy based on asserting its export, industrial and technological power. Rather than focusing on rebalancing the growth model and boosting domestic consumption, Beijing is prioritising industry and innovation, seeking to increase its dominance in critical sectors and guarantee its 'national security'. This approach should serve as a warning to the rest of the world: while it may alleviate inflationary pressures and ease the cost of the low-carbon transition, it also fuels significant competitive pressure and trade tensions, and introduces a risk of new dependencies on China in high-tech sectors.

GROWTH MODEL: NO REBALANCING

The priority given to the export-oriented manufacturing sector and industrial policy is clearly articulated in the 15th Five-Year Plan, the final version of which was published in March. The document explicitly calls for "*continuing the modernisation of the industrial system*" and "*developing new quality productive forces*".

This strategy will perpetuate the imbalances between the internal and external drivers of Chinese growth. Since emerging from the 2020-2022 Covid crisis, economic growth has relied primarily on exports, while domestic demand has struggled to recover. In 2025, real GDP growth reached 5%. Net exports accounted for one-third of this growth rate, a historically high level, whereas the contribution from household consumption remained below pre-Covid levels (only 40% of real GDP growth), and investment growth hit a low point (under 2% in real terms).

The 15th Five-Year Plan does not directly address this Imbalance, which is nevertheless one of the main vulnerabilities of the Chinese economy. Admittedly, boosting private consumption is explicitly mentioned as an objective for the next five years. The authorities are considering measures to foster employment, increase incomes and improve the social protection system. However, this objective remains secondary, with no binding figures or timetable, in contrast to the clear and ambitious targets set for innovation and industry.

For example, strengthening the healthcare and social protection systems is envisaged through a series of small measures, some of which have already been in place for several months (allowances for parents of young children, increases in retirement pensions, extension of the long-term care insurance scheme, etc.). However, these measures and the other proposed actions are modest. They do little to address the main drag on consumption: low household confidence, fuelled by the housing crisis since 2021 and a labour market that has not returned to pre-Covid conditions (slower growth in disposable income, weaker job creation, and higher unemployment, particularly among young people).

Other strategies are suggested to gradually boost consumption. Urbanisation, for example, is no longer viewed as an end in itself as it was in previous plans, but now forms part of a broader strategy aimed, among other objectives, at improving access to public services. Building a unified national market, notably to reduce regional distortions, is also mentioned. In fact, the 15th Five-Year Plan calls for the expansion of the supply of goods and services to "*unlock consumption potential*", and for promoting the consumption of green products, goods with higher added value, and "*quality*" services (in healthcare, tourism, sport, etc.). However, the main problem of China's imbalanced growth model lies with demand, not supply.

The authorities appear to operate under the implicit assumption that private consumption will inevitably "follow" the structural changes happening in the economy, society, the market and available supply of goods and services. The plan is predicated on a gradual increase in domestic consumption over the long term, rather than relying on a genuine short-term stimulus.

INNOVATION, AI AND CUTTING-EDGE TECHNOLOGIES: A STRATEGIC IMPERATIVE

The 15th Five-Year Plan is primarily centred on innovation, which serves as the driving force for modernisation and is a strategic imperative on several levels.

Firstly, innovation, science and technology, along with artificial intelligence (AI), are levers of growth that are essential for increasing **productivity gains** and mitigating the effects of demographic decline. Beijing aims to double real per capita GDP between 2020 and 2035, which requires an average annual economic growth rate of 4.2% over the next decade (this rate slowed from +7.7% per year during 2010-2019 to +4.9% during 2020-2025). This is an ambitious target, which can only be achieved through significant productivity gains. In particular, the development of AI across the entire value chain – from critical materials to chips, from the most powerful models to their applications across all sectors of the economy and the population – is at the heart of China's strategy to boost productivity.

Furthermore, technological advances are a **direct arena of competition with the United States.** The race for semiconductors (a "*pillar sector*"), AI and quantum computing is fuelling the rivalry between the two powers. Against this backdrop, the 15th Five-Year Plan prioritises achieving dominance in the most advanced technologies for Beijing.

Finally, **national security** emerges as a key principle of the new five-year plan, regarded as an absolute priority. This explains the emphasis placed on "*control of industrial and supply chains*", "*strengthening scientific and technological capabilities*" and the development of strategic sectors (as well as energy and food security). The pursuit of national security, self-sufficiency and technological sovereignty justifies prioritising industrial policy and innovation over policies aimed at stimulating demand and increasing private consumption.

The pursuit of technological power and autonomy will be underpinned by massive investment in research, innovation and digital infrastructure. R&D expenditure (already 2.8% of GDP in 2025) is set to grow by more than 7% annually between 2026 and 2030, similar to the trajectory outlined in the 14th Five-Year Plan, but with greater emphasis on fundamental research.

While China has long focused on the development and commercialisation of applied technologies, the 15th Five-Year Plan calls for "*decisive breakthroughs*" to "win the battle for key technologies". China intends to continue rising the value chain, developing critical technologies and future industries, and rapidly consolidating its comparative advantage in a growing number of sectors.

Key targeted industries include, in particular, next-generation batteries and green energy, semiconductors, AI, robotics, biotechnology and aerospace. The 15th Plan also calls for the modernisation of traditional industries through innovation. All these sectors will continue to benefit from public subsidies, preferential access to energy and raw materials, logistical support and a favourable regulatory framework.

A MORE POWERFUL AND ASSERTIVE CHINA: A CHALLENGE FOR THE REST OF THE WORLD

China's strategy will continue to have significant implications for the rest of the world. Firstly, the competitive pressure exerted by Chinese goods will persist and impact a wider range of sectors. High price competitiveness, along with the expansion of industrial production and a rapid rise in the value chain—while maintaining a significant advantage in lower value-added sectors—combined with weak domestic demand, will ensure that exports remain substantial. The technological dominance of the US could be under threat; European growth, which relies on exports and the complementarity of comparative advantages, will face limitations; and the developing industries of emerging countries will be weakened.

Furthermore, the 15th Five-Year Plan also calls for the relocation of Chinese production capacity. It advocates for "*supporting companies in their overseas expansion*", promoting direct investments for economic and geopolitical purposes. This should enable China to circumvent trade barriers, secure access to critical resources and markets, and relocate production to create jobs in partner countries, thereby easing tensions.

At the same time, policies of import substitution, securing supply chains, achieving self-sufficiency and industrial upgrading will further reduce China's import needs and, consequently, the market opportunities for its trade partners that export manufactured goods.

On the other hand, there are still opportunities in the services sector, particularly in technology services, where Chinese demand will continue to grow and rely on foreign expertise. The 15th Five-Year Plan mentions the possibility of encouraging foreign direct investment, particularly in 'modern services' sectors such as healthcare and culture.

Ultimately, the rise in the industrial value chain could increase the rest of the world's dependence on China. Following critical minerals and green technologies, China could also become a key supplier in emerging high-tech segments. This poses major strategic challenges for advanced economies.

Beijing's strategy also provides certain advantages for its trade partners, granting them access to low-cost goods, thereby reducing the cost of adopting low-carbon energy and helping to curb inflation. These benefits are all the more valuable in the current context of rising energy prices, inflationary pressures and the energy transition.

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The 15th Five-Year Plan does not seek to correct the imbalances in the Chinese growth model, but rather reinforces the path followed during the post-Covid era. The development strategy to be maintained in the short and medium term is based on supply, enhancing sovereignty, and achieving technological and export dominance. This approach addresses China's internal constraints (demographic, budgetary) as well as its geopolitical ambitions. By failing to rebalance its growth drivers in favour of domestic consumption, China remains reliant on the rest of the world's willingness to continue absorbing its surpluses of goods, capital and productive capacity. Negotiations between China and its trade partners present a huge challenge and are likely to adopt various strategies. For partner countries, the challenge will be to adapt to the rise of Chinese industry and technology, to protect themselves against the high level of price competitiveness of Chinese goods (while China also has the tools to counter protectionist measures, notably through controls on exports of critical materials), and to attempt to reduce trade imbalances. Moreover, and most importantly, new forms of partnership will need to be established. Given the structurally weak domestic demand and the ongoing decoupling from the United States, it is in China's best interests to maintain good relations with Europe and the rest of the world. *See our next editorial in the 18 May issue of EcoWeek*.

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Find out more in our scenario and forecasts

INTERNATIONAL TRADE

US-EU trade agreement under an ultimatum. The imposition of 25% US tariffs on European cars, as indicated by Donald Trump, has been postponed until 4 July, contingent on the EU's ability to implement the agreement. Meanwhile, the US International Trade Court has ruled that the 10% tariffs imposed under Section 122 are unlawful, but this ruling only applies to two specific cases and does not invalidate the measure in its entirety. Furthermore, Brussels has announced the cessation of subsidies granted to Chinese suppliers of photovoltaic inverters, effective as of 1 November, which it has described as "one of the most pressing threats" to the EU's critical infrastructure (risk of power cuts).

ADVANCED ECONOMIES

UNITED STATES

A buoyant labour market and deteriorating household sentiment. Payroll employment rose by 115,000 in April (a cumulative increase of 304,000 in 2026, compared with 116,000 in 2025). The growth was mainly driven by education and healthcare (+46,000), but also by transport (+60,000). The unemployment rate remained stable (4.3%) but the labour force participation rate fell again (-0.1pp to 61.8%). Q1 2026 saw hourly productivity grow by +0.8% on an annualised basis (+1.6% in Q4 2025). The non-manufacturing ISM index held steady in April (-0.4 m/m to 53.6) despite a slowdown in new orders; pressures on prices and supply lead times persist. Consumer sentiment (Michigan) hit a record low of 48.2 (-1.6 m/m) in May. The US trade deficit widened slightly in March (USD 88.7bn compared with USD 84.6bn in February), but the 12-month smoothed deficit is at its lowest since 2021, largely due to the rise in energy exports. March's industrial orders confirm the strength of investment: the core measure (capital goods excluding defence) jumped by 3.4% m/m (the sharpest rise since 2017), following a 1.5% m/m increase in February. *Coming up: CPI inflation (Tuesday), producer prices (Wednesday), retail sales (Thursday).*

EUROZONE

Weaker services sector (primarily in tourism and transport). In April, 1/ the composite PMI fell to 48.8 (-1.9 m/m), dragged down by services; 2/ sectoral PMIs indicate that this decline was largely due to the tourism and leisure sector as well as transport services, while the automotive sector PMI improved; 3/ the construction PMI deteriorated (-2.6 m/m to 41.7). Retail sales fell by 0.1% m/m in March. The ECB's wage tracker remains stable. The index (excluding bonuses) is projected to rise by 2.6% y/y in the second half of 2026. According to producer prices, the inflationary shock was confined to energy in March: the core PPI (excluding energy and construction) rose by 0.4% m/m and 1.4% y/y. *Coming up: Q1 GDP and employment, industrial production (Wednesday).*

- France: Industry and exports holding up well; deterioration in services. Manufacturing output rose by 1.2% m/m in March, bolstered by aerospace, electronics and refining. The current account deficit remained contained in March (EUR 1.2bn, totalling 8.2bn over 12 months), despite oil prices (the fall in import volumes offset the rise in prices). The robust growth in goods exports was confirmed (+€5bn y/y according to customs figures for Q1 2026), mainly within the EU (including +€2bn to Germany). Car registrations stabilised in April. The share of electric vehicles has grown (27% in January-April) but could decline with the end of the second social leasing scheme (a third is planned for this summer). The composite PMI contracted to 47.6 in April (-1.2 m/m), dragged down by services (46.5; -2.3 m/m), particularly in retail, transport and temporary employment. The government estimates the cost of overseas military operations at EUR 2.4 billion in 2026 (EUR 1 billion over the budgeted provision for 2026). *Coming up: business insolvencies (Monday), Banque de France business survey, unemployment, labour costs and business start-ups (Wednesday).*

- Germany: Rising demand in industry. New industrial orders rose by 5% m/m in March and by 6.5% on average over the last six months (compared with the previous six months), driven by the aerospace sector, while the manufacturing PMI remained in expansionary territory in April (51.4; +0.2 m/m): positive developments against the backdrop of a 0.8% m/m decline in industrial production in March. Construction output rose by 1.9% m/m in March.

- Italy: Business sentiment rebounds. The services PMI rose in April to 49.8 (+1 m/m), bolstered by a slight increase in new orders. The composite PMI returned to expansionary territory, at 50.5 (+1.3 m/m). However, the rise in input prices reached its highest level in three and a half years. Retail sales accelerated in March (+3.7% y/y; +0.8% m/m), driven mainly by food. *Coming up: industrial production (Monday).*

- Spain: A sharp decline in confidence indices. The composite PMI contracted in April to 48.7 (-3.7 m/m), dragged down by the services sector (47.9; -5.4 m/m, the lowest level since July 2022), particularly in tourism. The labour market remains buoyant: the number of unemployed fell by more than 62,000 in April (to 2.4 million, a level not seen since June 2008).

JAPAN

Foreign exchange market interventions and wage growth. The Japanese authorities are reported to have continued to prop up the yen (JPY) with an estimated total of USD 64 billion. This intervention allowed the USD/JPY exchange rate to hover around 156.5 (compared with around 160 at the time of the first intervention on 30 April). Wage growth slowed to +2.7% y/y (-0.7pp) in March 2026 due to reduced bonus payouts, but the underlying measure of scheduled contractual wages held steady (+3.2% y/y, or -0.2pp). At the same time, the real wage index remains in positive territory (+1.0% y/y) but is slowing in the face of rising inflation (-1.0pp compared with February). *Coming up: industrial production (Friday).*

UNITED KINGDOM

Long-term rates tested by political risk. Long-term rates, which hit record highs on 5 May (5.78% for the 30-year and 5.08% for the 10-year) ahead of the local elections, have since fallen following Keir Starmer's pledge to remain in office. The composite PMI rebounded in April (52.6; +2.3 m/m), bolstered by services (52.7; +2.2 m/m), particularly digital services. Conversely, the construction PMI contracted to 39.7 points (-5.9 m/m). *Coming up: Q1 GDP, industrial production and foreign trade (Thursday).*

Find out more in our scenario and forecasts

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

The war has had a significant but unequal impact on the Gulf economies. In April, PMI indices remained below 50 in Kuwait (46.6) and Qatar (46.4), indicating a contraction in non-oil activities for the second consecutive month. In contrast, the PMI rebounded in Saudi Arabia to 51.5 from 48.8 in March, while it reached 52.1 in the United Arab Emirates. For both countries, robust domestic demand is partly offsetting the deterioration in the external environment.

Saudi Arabia: Deterioration in public finances in Q1. The budget deficit reached USD 33bn in Q1 2026, marking the highest level since 2018 (more than double that of Q1 2025). The majority of the deficit increase is attributed to higher expenditure (+20% y/y), particularly in subsidies (+170%). Investment expenditure also rose sharply (+56%). In contrast, revenue held up well (down just 1% despite the closure of the Strait of Hormuz).

ASIA

Inflation accelerated in April. Rising international energy prices are feeding through to inflation in Thailand, Vietnam and the Philippines. Prices rose by +2.9%, +5.5% and +7.2% y/y respectively. In Indonesia, price rises remain contained (+2.4%) as the government has kept fuel prices stable.

China: Inflation is rising, and export growth remains robust ahead of the China-US summit. Producer price inflation reached +2.8% y/y in April, its highest level since August 2022. CPI inflation continued to accelerate (to +1.2% year-on-year), driven by petrol prices (+17.4%). A price regulation mechanism is mitigating the impact of the global energy shock on consumers. Goods exports rose by +14.1% y/y in April (following +17.4% in Q1 2026), attributed to a sharp rise in volumes and a smaller fall in prices. Imports rose by 25.3% y/y in April (22.5% in Q1), due in particular to the rise in hydrocarbon prices. With Presidents Donald Trump and Xi Jinping due to meet on 14 and 15 May in Beijing, trade between China and the US increased in April (Chinese exports to the US rose by +11.3% y/y, following a -13.3% decline in Q1, while Chinese imports of US goods increased by +4.9%, following a -19.6% decline in Q1). According to Chinese statistics, the bilateral trade surplus for the first four months of 2026 has decreased compared with the same period in 2025. The international context is also expected to strengthen Beijing's negotiating stance with Washington.

Growth held up in Indonesia in Q1 2026 but slowed in the Philippines. Growth in Indonesia reached its highest level since 2022 (+5.6% y/y). Details of the GDP components are not yet known, but economic indicators suggest that growth was driven by household consumption and an uptick in business investment, whilst exports slowed. Conversely, in the Philippines, the energy shock exacerbated the slowdown in growth (+2.8% y/y in Q1, compared with 3% in Q4 2025). Investment continued to decline while the growth in private consumption slowed. However, exports remained buoyant.

EMERGING EUROPE

Romania: Political crisis. On 5 May, the no-confidence vote against the government secured 281 votes (233 were required). The current government can serve in an interim capacity over the next few weeks pending the appointment of a new Prime Minister. In the financial markets, the Romanian currency is under significant pressure (-1.8% against the euro over the past week). This period of uncertainty is likely to weigh on economic activity. Furthermore, European funds earmarked for the country could be suspended if the continuation of the fiscal austerity policy is called into question.

Poland and the Czech Republic: Monetary policy on hold. Both central banks have kept their key interest rates unchanged, in line with expectations. This policy stance is likely to last several months, while the Central banks balance on the one hand, fresh inflationary pressures and, on the other, the risks of an economic slowdown. Key interest rate hikes are possible in the event of a sharp rise in inflation.

Czech Republic: Inflation accelerates. Inflation rose to 2.5% y/y in April, following 1.9% in March and 1.4% in February. It remains within the Central Bank's target range of 2% ±1 percentage point, leaving some room for manoeuvre in monetary policy.

LATIN AMERICA

Inflationary pressures increased in April, driven by the 'energy' and 'transport' components. In Peru, Chile and Colombia, prices rose by 3.7%, 4% and 5.7% y/y respectively. Chile is seeing a particularly sharp acceleration in inflation, mainly due to the end of fuel subsidies. Expectations for the coming months are largely on an upward trajectory. Nearly 30% of the Chilean CPI basket comprises indexed products (rents, financial charges, insurance), the prices of which have yet to be adjusted.

Mexico is currently the exception. Inflation slowed in April (4.4% y/y after 4.6% in March), mainly due to the fall in electricity prices and the slowdown in domestic demand. On 7 May, the Central Bank provided justification for a further cut in its key interest rate (-25 bp, to 6.5%) on the grounds of this slowdown in economic activity. It stated that "it would be appropriate to maintain the rate at its current level for an extended period". Headline inflation forecasts have been revised slightly upwards for the next two quarters, but core inflation forecasts remain unchanged, as does the convergence target of 3% for Q2 2027.

COMMODITIES

Markets took a breather last week amid the potential for progress towards a deal between the US and Iran. Consequently, Brent and TTF (European spot gas price) prices fell by 11.5% and 8.3% respectively. Despite this, the rise in prices since the start of the conflict remains significant: +44% for Brent at USD 104.5/b and +39% for TTF at EUR 44.5/MWh this morning. Nevertheless, in the oil market, the scale of current and future disruptions appears to be more accurately reflected. The spread between the price of a barrel of Dated Brent (the futures contract for the nearest physical delivery) and that of Brent (the contract maturing in July 2026) has narrowed in recent days (the spread is now less than $5/b). Brent futures for December 2026 delivery are up (USD 88.7/b this morning) and remain close to their peak (USD 92/b on 4 May).

European imports of Russian LNG hit a record high in the first four months of 2026, up 18% compared with the same period in 2025. They account for around 7% of total European gas imports. These imports have been banned since 25 April 2026 for short-term contracts concluded before 17 June 2025. Meanwhile, **European LNG imports from the United States also hit a record high in Q1 2026** (accounting for 28% of total European gas imports). European demand for gas is expected to keep rising in the coming months due to the need to replenish stocks ahead of next winter.

US exports of petroleum products (both crude and refined) hit a record high this week, at 8.2 mb/d, according to the US Energy Information Administration.

FRANCE: INFLATION IS STARTING TO SPREAD BUT IS STILL SPARING CONSUMER GOODS AND SERVICES

Stéphane Colliac

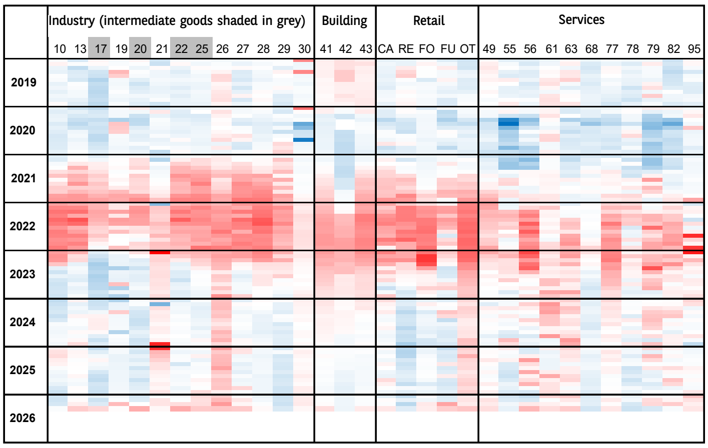
The energy shock is beginning to feed through into French inflation. In March and April, inflation was limited to refining activities and fuel prices. It is expected to affect more sectors in the second quarter, according to the European Commission's survey on three-month selling price expectations. In France, the pass-through is expected to mainly affect intermediate goods in Q2. However, inflationary pressures on consumer goods and services or construction are expected to remain quite moderate. These factors are consistent with our scenario of a limited acceleration in French inflation (see our scenario) and a moderate impact of the energy shock on growth (read our analysis of French growth in the first quarter).

In France, sector-specific business surveys indicate that the energy shock is beginning to feed through into selling prices, with prices expected to rise over the next three months (primarily for industrial inputs). This conclusion is drawn from an analysis of data from the European Commission's April survey. However, the proportion of companies anticipating such increases remains moderate. It is higher among companies in sectors that produce intermediate goods, particularly those that are most oil-intensive (chemicals, plastics and rubber). These inputs are used to produce consumer or investment goods, which will therefore lead to an increase in production costs. However, manufacturers in these sectors (including automotive, pharmaceuticals and agri-food) do not plan to raise their selling prices. This observation was noted by INSEE in its quarterly survey of industry: 'other industries' (which include intermediate goods) expect their selling prices to rise by 1.7% over the next three months, while sectors producing final consumer goods do not anticipate any increase.

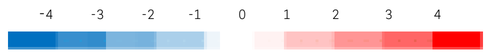
For the households, a slight impact is expected via food prices. Although the agri-food sector does not anticipate a price rise, agriculture is more exposed to energy costs, which account for a higher proportion of the goods produced. Consequently, the food retail and catering sectors (which either sell or process fresh products) expect to raise their prices (this is also linked to the rise in freight costs). An acceleration in food inflation is therefore quite likely. In the short term, this would be limited to fresh products. The food component of the consumer price index slowed in April (to 1.3% y/y) and price rises in the retail sector or the catering industry should remain limited.

Rising costs are expected to impact manufacturers in the second quarter, potentially resulting in these costs being passed on to retail prices in more sectors from the third quarter onwards. Producer prices remained stable in March (excluding fuel). However, the prospect of higher input prices is likely to contribute to rising production costs and exert pressure on margins in the second quarter. While the price of consumer goods may increase, it is likely to remain moderate. Indeed, other business costs, particularly wages, are not expected to exert an additional pressure (with the exception of the likely increase in the minimum wage at the end of the second quarter). Businesses may also opt to reduce their margins (against a backdrop of moderate demand), which would lessen the impact of the energy price shock on core inflation.

Prospects for price increases in France: companies in the intermediate goods sectors are more likely than others to raise their prices



Indicators are converted into z-scores, i.e. deviations from their long-term average (expressed in standard deviations). Red shading corresponds to higher inflation pressures, while blue indicates downward price expectations, and white a stability.



Sectors considered: 10: food; 13: textiles; 17: paper; 19: refining; 20: chemicals; 21: pharmaceuticals; 22: plastics/rubber; 25: processed metals; 26: IT/electronics; 27: electrical equipment; 28: machinery and equipment; 29: automotive; 30: other transport equipment; 41: building construction; 42: civil engineering; 43: specialised construction; CA: motor vehicle trade; RE: vehicle repair; FO: food trade; FU: fuel trade; OT: retail, other; 49: freight transport; 55: hotels; 56: restaurants; 61: telecommunications; 63: information services; 68: real estate; 77: rental and leasing; 78: employment support; 79: travel agencies; 82: administrative services; 95: IT repairs

SOURCE: DG ECFIN, BNP PARIBAS

Consequently, consumer price inflation is not expected to become widespread by the end of the second quarter (read our analyses concerning the eurozone and advanced economies as a whole). However, a more pronounced rebound in producer prices (which remain moderate outside the refining sector for now) could feed through, from the third quarter onwards, into consumer prices.

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La banque
d'un monde
qui change

Paris, 30 April 2026

EcoFlash

Four Central Banks on "Active Hold"

The central banks of the world's leading advanced economies met this week, and all decided to leave their policy rates unchanged despite significantly higher inflation prints and outlooks. In the words of Bank of England (BoE) Governor Andrew Bailey, these were "active holds". They are not fully hawkish yet, but the hawks have made their dissent heard while still in the minority. But they are no longer in a pure passive "wait-and-see" mode. We expect hikes to come through in June, at least for the BoE, BoJ and ECB.

FOMC: One step closer to a two-sided stance. The FOMC has decided to hold the Fed Funds target range steady at 3.5% - 3.75%. The committee views its stance as "well-positioned" given the current outlook and balance of risks, including a softened labour market, an inflation now depicted as "elevated" (vs. "somewhat elevated" previously), and solid economic growth. That provides it with leeway to wait to see in the data the actual effects of the shocks (including the energy shock) before potentially taking action. Importantly, the vote featured an unusually high number of dissents (four, which is unseen since 1992), on opposite sides: Governor Miran favored a rate cut (-25bp), while three regional Fed presidents opposed, maintaining the "easing bias" in the statement. That said, although the shift from an easing bias to a two-sided outlook has not been formalized, it has emerged *de facto* throughout Chair Powell's remarks. Indeed, he described the committee as "close to changing the guidance" and "in a good place to move in either direction". This, **alongside our growth and inflation outlook**, strengthens our call of a steady policy rate through end-2027, with growing tail-risk of a hike as next move. Finally, Powell confirmed that he would retain his seat on the Board of Governors "for an indefinite period of time" **after handing over the Chair position to Kevin Warsh next month**. Whilst he linked this to the Department of Justice's investigations against him and the Fed not yet being "well and truly over with transparency and finality", this has the effect of forcing Governor Miran—by far the most dovish FOMC member— to step down from the Board of Governors in order to allow Kevin Warsh to take over as Chair. Following the meeting, markets nearly priced out any cut in 2026 and see a small probability of a hike in 2027.

ECB: Well positioned to wait for less insufficient information. Unlike at the other central banks, the decision to hold the main policy rate (at 2%) was unanimous; however, President Lagarde revealed that the option of a hike at today's meeting was discussed at length, suggesting there were vocal hawks in Frankfurt too. While no new scenarios were released, President Lagarde conceded that things were "certainly moving away from the baseline", with now "intensified" downside risks to growth and upside risks to inflation. But she stressed that financial conditions have already tightened, that the ECB is not seeing evidence of second-round effects yet, and that longer-term inflation expectations remain well-anchored. All in all, the ECB left the door wide open to a June rate hike, but restated its "data-dependent, meeting-by-meeting, and no pre-commitment to any rate path" approach. We expect the ECB to hike by 25bp in June and by another 25bp later in the year, consistent with market pricing and unchanged from before the meeting.

BoE: Keeping options open. The Bank of England kept its policy rate unchanged at 3.75% with the chief economist dissenting in favor of a 25bp hike. Rather than a central forecast, the BoE offered three scenarios centered on a more dovish outcome than the ECB's and many private-sector ones. In the first, there are no second-round effects to energy-induced inflation, owing to relatively weak demand constraining the ability of firms to increase prices to preserve margins and the ability of workers to obtain higher wages. In the second, there are some, owing to a slightly greater persistence of the shock, but the "headroom" created by markets moving from pricing multiple rate cuts pre-war to pricing multiple hikes means rate hikes may, in fact, not be forthcoming. In the third, the shock is more persistent and second round effects larger, and inflation exceeds 6%. In this scenario, a policy response would be unavoidable, said Deputy Governor Lombardelli. But overall, interest rate hikes are not a given, stressed Governor Bailey, whereas markets are pricing-in two to three hikes by 2026 year-end.

BoJ: Rate hikes unavoidable but postponed. The Bank of Japan kept its policy rate unchanged at 0.75%, with three dissents favoring a rate hike. For now, the central bank adopts a "look-through" approach to the energy shock, waiting to gauge the impact on activity before further adjusting the degree of monetary accommodation. Though expected, the decision still seems at odds with the BoJ's own updated outlook and risks, which include GDP growth roughly in line with potential, coupled with a persisting inflation overshoot in FY2026. The postponement of the rate hike might be related to a lack of government support, whilst the government has strongly signaled its reluctance to rate hikes through dovish board appointments (Asada since April, Sato to join in July). Governor Ueda did not provide any guidance for the timing of future adjustments, but the path for the policy rate remains unchanged: we expect a June hike (+25pb – 65% chance according to markets) and a 2.0% terminal rate by end-2027. However, the more rate hikes are delayed, the greater the risk that more tightening will be needed. The JPY had weakened following the meeting, as the USD/JPY exceeded 160 on 29 April, before strengthening significantly below 157 on 30 April amid a "final warning" from the Ministry of Finance regarding FX market intervention, which was reportedly carried out.

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EcoFlash

France: one-off factors largely account for zero growth in Q1

French growth was lower than expected in the first quarter, at 0% QoQ, mainly hampered by exceptional factors, mostly aeronautics deliveries and public investment. These factors explain why this figure is significantly lower than our *nowcast* and that of the Banque de France, which estimated that growth had reached 0.3% in Q1, based on production indicators in industry and services. This lead taken by production is reflected in a strongly positive contribution from changes in inventories (+0.8 percentage points), driven mainly by transport equipment.

French GDP stagnated in the first quarter, mainly held back by aeronautics exports. Exports fell by 3.8% QoQ (a negative contribution of 1.2 percentage points to growth), a decline linked to very subdued aircraft deliveries (114 aircraft in Q1 2026, compared with 136 in Q1 2025 and 286 in Q4 2025). However, this weakness in deliveries was not driven by a decline in the production of transport equipment. Production of transport equipment rose by 1.5% QoQ in Q1 2026. Furthermore, changes in inventories contributed positively to first-quarter growth (by 0.8 percentage points), and this increase in inventories is largely attributable to transport equipment. We estimate that this exceptional factor (delayed aircraft deliveries) would have dampened first-quarter growth by 0.3 percentage points and is likely to be recouped subsequently. Indeed, production in the sector shows no signs of slowing down and the order book is full. A rebound in exports is therefore plausible, but would be spread over the coming quarters, as ramp-up typically takes time.

An upside risk to our forecast for the second quarter, despite uncertainties that are likely to weigh on the outlook. We recently revised our growth forecast for the second quarter to 0% QoQ, since accelerating inflation (2.5% y/y in April according to the harmonised index) should lead to a decline in household consumption, a view we maintain. Household confidence fell by 5 points mom in April 2026, with a sizeable decline in the opportunity to make major purchases. Following a decrease by 0.1% QoQ in the first quarter, we expect consumption to contract by 0.3% QoQ in Q2 according to our forecasts and to stagnate in 2026. However, the likely rebound in exports introduces an upside risk to our forecast. Growth could therefore be slightly positive in both second and third quarters, and France would thus avoid recession.

Investment: cautious optimism, despite a poor first quarter and uncertainty. Investment took a hit in the first quarter of 2026, with a decline in business and household construction investment (which had strengthened in the second half of 2025) and a fall in public investment (due to the local election cycle and the late adoption of the 2026 Finance Act). Recent data, notably including an increase in housing starts observed over the last three months, nevertheless show that the trend towards improvement remains intact. Furthermore, structural trends, such as business investment in digital technology, continue to support growth and have led to a sharp rise in business creations (+14% y/y in Q1). Uncertainty surrounding the conflict in Iran and the scale of the monetary policy response (which will determine the extent of the ECB's rate hikes, +50 basis points in our scenario for 2026) is likely to weigh on investment intentions in the coming quarters. However, we expect investment growth to continue, albeit at a more moderate pace than in 2025 (+0.5% in 2026, compared with +0.8% in 2025).

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